

CONSOLIDATED FINANCIAL STATEMENTS
INCLUDING UNIFORM GUIDANCE REPORTS
AND SCHEDULES

Sanford
Years Ended December 31, 2024 and 2023
With Reports of Independent Auditors



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Sanford

Consolidated Financial Statements Including Uniform Guidance Reports and Schedules

Years Ended December 31, 2024 and 2023

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Report of Independent Auditors

The Board of Trustees
Sanford

Opinion

We have audited the consolidated financial statements of Sanford (the Company), which comprise the consolidated balance sheets as of December 31, 2024 and 2023, and the related consolidated statements of operations and changes in net assets and cash flows for the years then ended, and the related notes (collectively referred to as the “financial statements”).

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2024 and 2023, and the results of its operations, changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.



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In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.



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We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. We have not performed any procedures with respect to the audited financial statements subsequent to March 31, 2025. The accompanying Schedule of Expenditures of Federal Awards, as required by Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the information is fairly stated, in all material respects, in relation to the financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated March 31, 2025 on our consideration of the Company's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Company's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Company's internal control over financial reporting and compliance.

Ernst & Young LLP

March 31, 2025, except for our report on the
Schedule of Expenditures of Federal Awards
for which the date is June 10, 2025

Consolidated Financial Statements

Sanford

Consolidated Balance Sheets
(In Thousands)

	December 31	
	2024	2023
Assets		
Current assets:		
Cash	\$ 182,449	\$ 105,545
Short-term investments	323,385	285,632
Accounts receivable	909,193	936,994
Inventories	139,696	134,144
Other current assets	168,183	107,196
Total current assets	1,722,906	1,569,511
Assets held for sale	152,893	335,401
Investments	2,494,225	2,269,119
Assets whose use is limited	239,077	239,421
Property and equipment, net	2,712,218	2,511,593
Right-of-use asset	101,848	90,570
Investment in joint ventures	72,568	68,490
Non-operating property	148,249	138,759
Goodwill and intangible assets	214,550	70,765
Notes receivable	50,256	56,781
Other assets	82,839	49,421
Total other assets	670,310	474,786
 Total assets	 <u><u>\$ 7,991,629</u></u>	 <u><u>\$ 7,399,831</u></u>

See notes to consolidated financial statements.

Sanford

Consolidated Balance Sheets (continued) (In Thousands)

	December 31	
	2024	2023
Liabilities and net assets		
Current liabilities:		
Current maturities of long-term debt	\$ 72,005	\$ 67,609
Commercial paper	223,930	–
Current portion of other liabilities	80,413	90,858
Accounts payable	143,120	136,254
Accrued compensation and benefits	361,611	329,980
Medical claims payable	72,468	75,778
Other accruals and deferred revenue	135,270	147,761
Total current liabilities	1,088,817	848,240
Liabilities held for sale	16,097	44,873
Other liabilities:		
Operating leases	83,524	74,783
Deferred compensation	232,712	200,980
Residential housing deposits	63,757	64,109
Other non-current liabilities	89,711	153,416
Total other liabilities	469,704	493,288
Long-term debt, less current maturities	1,331,587	1,398,906
Total liabilities	2,906,205	2,785,307
Commitments and contingencies (Note 13)		
Net assets:		
Without donor restrictions – controlling interest	4,780,798	4,318,190
Without donor restrictions – non-controlling interest	1,731	2,237
With donor restrictions	302,895	294,097
Total net assets	5,085,424	4,614,524
Total liabilities and net assets	\$ 7,991,629	\$ 7,399,831

See notes to consolidated financial statements.

Sanford

Consolidated Statements of Operations (In Thousands)

	Year Ended December 31	
	2024	2023
Operating revenues:		
Patient revenue	\$ 4,681,718	\$ 4,454,746
Resident revenue	683,782	634,518
Premium revenue	996,557	940,435
Other operating revenue	1,318,644	1,196,238
Total operating revenues	7,680,701	7,225,937
Operating expenses:		
Salaries and benefits	3,769,539	3,500,854
Supplies	1,555,741	1,388,407
Purchased services and other	1,142,300	1,124,962
Medical claims	605,480	583,959
Depreciation and amortization	164,178	184,517
Interest	43,165	41,028
Total operating expenses	7,280,403	6,823,727
Income from operations	400,298	402,210
Non-operating (expense) income:		
Investment return	20,832	146,484
Defined benefit pension termination adjustment	(44,822)	(10,553)
Other expenses	(50,789)	(32,754)
Net non-operating (expense) income	(74,779)	103,177
Excess of revenues over expenses from continuing operations	325,519	505,387
Gain (loss) from discontinued operations	69,000	(22,255)
Plus deficiency of revenues over expenses attributable to non-controlling interest	506	11,681
Excess of revenues over expenses attributable to controlling interest	\$ 395,025	\$ 494,813

See notes to consolidated financial statements.

Sanford

Consolidated Statements of Changes in Net Assets (In Thousands)

	Year Ended December 31	
	2024	2023
Net assets without donor restrictions – controlling interest:		
Excess of revenues over expenses attributable to controlling interest	\$ 395,025	\$ 494,813
Net assets released from restrictions for acquisition of property and equipment	13,481	7,428
Pension plan termination adjustment and other changes	57,364	(10,318)
Other changes in net assets	(3,262)	(50)
Increase in net assets without donor restrictions – controlling interest	462,608	491,873
Net assets without donor restrictions – non-controlling interest:		
Deficiency of revenues over expenses	(506)	(11,681)
Decrease in net assets without donor restrictions – non-controlling interest	(506)	(11,681)
Net assets with donor restrictions:		
Contributions	28,903	17,713
Investment return	17,599	20,062
Net assets released from restrictions	(37,704)	(32,957)
Increase in net assets with donor restrictions	8,798	4,818
Increase in net assets	470,900	485,010
Net assets – beginning of year	4,614,524	4,129,514
Net assets – end of year	<u>\$ 5,085,424</u>	<u>\$ 4,614,524</u>

See notes to consolidated financial statements.

Sanford

Consolidated Statements of Cash Flows (In Thousands)

	Year Ended December 31	
	2024	2023
Operating activities		
Increase in net assets	\$ 470,900	\$ 485,010
Decrease in net assets from discontinued operations	153,930	43,760
Increase in net assets from continuing operations	624,830	528,770
Adjustments to reconcile increase in net assets from continuing operations to cash flows from continuing operating activities:		
Net realized and unrealized market loss (gain) on investments	28,911	(83,889)
Depreciation and amortization	164,178	184,517
Pension plan termination adjustment and other changes	(57,364)	10,318
Contributions restricted for long-lived purposes	(2,916)	(2,933)
Other changes in net assets	58,936	9,427
Changes in other operating elements:		
Accounts receivable and other assets	(201)	(65,127)
Accounts payable and other current liabilities	58,781	(73,253)
Deferred compensation liability	31,732	37,178
Other liabilities	(82,809)	(37,934)
Cash flows from continuing operating activities	824,078	507,074
Cash flows used in discontinued operating activities	(163,531)	(21,718)
Cash flows from operating activities	660,547	485,356
Investing activities		
Acquisition of property and equipment	(327,828)	(223,856)
Proceeds from sale of property and equipment	13,593	30,464
Acquisition of a business, net of cash and cash equivalents acquired	(233,362)	—
Purchases of investments and deferred compensation assets	(752,850)	(695,846)
Proceeds from sale of investments and deferred compensation assets	407,850	311,667
Increase in other assets	(45,085)	(19,351)
Cash flows used in continuing investing activities	(937,682)	(596,922)
Cash flows from discontinued investing activities	189,937	34,186
Cash flows used in investing activities	(747,745)	(562,736)

Sanford

Consolidated Statements of Cash Flows (continued) (In Thousands)

	Year Ended December 31	
	2024	2023
Financing activities		
Proceeds from commercial paper	\$ 223,930	\$ —
Repayment of long-term debt	(60,956)	(61,669)
Net decrease of bond discounts, premiums, and deferred financing costs	(5,365)	(5,503)
Proceeds from residential housing deposits and annuities issued	5,252	7,087
Refunds of residential housing deposits	(7,307)	(9,779)
Proceeds from contributions restricted for long-lived purposes	2,916	2,933
Cash flows from (used in) continuing financing activities	158,470	(66,931)
Cash flows used in discontinued financing activities	(27,545)	(19,173)
Cash flows from (used in) financing activities	130,925	(86,104)
Increase (decrease) in cash and cash equivalents	43,727	(163,484)
Cash and cash equivalents – beginning of year	146,074	309,558
Cash and cash equivalents – end of year	<u>\$ 189,801</u>	<u>\$ 146,074</u>
Supplemental disclosures of non-cash investing and financing activities		
Property and equipment funded through accounts payable	\$ 14,208	\$ 18,710
Right-of-use asset financed by operating lease liabilities	32,905	23,836
Contributions of nonfinancial assets	495	—
Supplemental disclosure of cash flow information		
Cash paid for interest	\$ 53,792	\$ 55,315
Reconciliation of cash and cash equivalents		
Cash	\$ 182,449	\$ 105,545
Cash included in other current assets	379	264
Cash equivalents included in assets held for sale	1,010	2,148
Cash equivalents included in assets whose use is limited	5,963	38,117
	<u>\$ 189,801</u>	<u>\$ 146,074</u>

See notes to consolidated financial statements.

Sanford

Notes to Consolidated Financial Statements (Dollar Amounts in Thousands)

December 31, 2024

1. Nature of Organization

Sanford, a nonprofit corporation headquartered in Sioux Falls, South Dakota, is the largest rural health system in the United States and is dedicated to transforming the health care experience and providing access to world-class health care in America's heartland. Sanford, and its wholly owned subsidiaries, serves more than 1.4 million patients and nearly 200,000 health plan members across 250,000 square miles. The integrated health system has 48 medical centers, 226 clinic locations, more than 2,900 Sanford physicians and advanced practice providers, 540 active clinical trials, Good Samaritan Society senior care locations in multiple states, and world clinics around the globe.

The consolidated financial statements include the accounts of Sanford, which incorporate both tax-exempt and taxable entities. All material intercompany balances and transactions have been eliminated in the consolidated financial statements.

2. Summary of Significant Accounting Policies

The consolidated financial statements are prepared on the accrual basis of accounting. The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts and disclosures of assets and liabilities and disclosures of contingent assets and liabilities at the date of the consolidated balance sheets. Estimates also affect the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash

Cash consists of deposits in banks and does not include any cash equivalents. At times, cash accounts may exceed federally insured limits. Management believes that the institutions where cash accounts are maintained are financially stable and that the credit risk related to deposits is minimal.

Sanford

Notes to Consolidated Financial Statements (continued) *(Dollar Amounts in Thousands)*

2. Summary of Significant Accounting Policies (continued)

Cash equivalents included in other current assets, assets held for sale, and assets whose use is limited include investments with maturities of 90 days or less from the date of purchase that have not otherwise been classified as long-term assets due to a designation for long-term purposes.

Inventories

Inventories are reported at lower of cost or market. Inventories include supplies, which are generally based on average cost method, and pharmaceuticals, which are based on the first-in, first-out method.

Investments and Investment Return

Investments in equity securities with readily determinable fair values and all investments in debt securities are recorded at fair value on the consolidated balance sheets. Alternative investments that do not have readily determinable fair values are recorded at net asset value (NAV), cost less impairment, or using the equity method. Investment securities are exposed to various risks, such as interest rate, credit, and overall market volatility. Due to the level of risk associated with certain investment securities, it is reasonably possible that changes in the value of investment securities could occur and such changes could materially affect the value of investments.

Investment return used to fund philanthropic initiatives is included in other operating revenue. All other investment return, including realized and unrealized gains and losses, are recorded as non-operating income (expense), unless restricted by donors. Investment return with donor restrictions is recorded as investment return within net assets with donor restrictions.

Property and Equipment

Land, land improvements, buildings, equipment (including software), and construction-in-process are reported at cost or market value at the time of purchase.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

2. Summary of Significant Accounting Policies (continued)

Depreciation is calculated using the straight-line method over the estimated useful lives of the assets, as follows:

Land improvements	5–50 years
Buildings	15–80 years
Building equipment	5–80 years
Movable equipment	3–30 years

Management annually reviews the carrying value of long-lived assets for potential impairment. There were no impairment losses during the years ended December 31, 2024 and 2023.

Non-operating Property

Non-operating property consists primarily of real estate held for future development and other non-operating property. Real estate held for future development is recorded at the lower of cost or market value at the time of classification, while non-operating property is recorded at net book value.

Right-of-Use Assets and Operating Lease Liabilities

Sanford determines if an arrangement is a lease at inception. Sanford leases various facilities and equipment under noncancelable operating leases expiring at various dates through October 2053 and records the corresponding right-of-use assets and operating lease liabilities on the consolidated balance sheets. Right-of-use assets are calculated as lease liabilities plus any prepaid lease payments and initial direct costs, less any lease incentives. Renewal options to extend the lease term that are reasonably certain to be exercised are included in the measurement of leases. Operating lease liabilities are calculated as the present value of the remaining lease payments and reported within current portion of other liabilities and operating leases on the consolidated balance sheets. The majority of leases do not provide an implicit rate; therefore, Sanford has elected to use a rate that approximates its incremental borrowing rate, which is the interest rate Sanford would borrow on a collateralized basis over a similar term as the discount rate. Sanford excludes operating leases with terms of 12 months or less and includes any fixed non-lease components in lease measurement.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

2. Summary of Significant Accounting Policies (continued)

Goodwill and Intangible Assets

Goodwill represents any excess of acquisition price over fair value of net assets acquired and is not amortized. The balance was \$202,862 and \$62,642 as of December 31, 2024 and 2023, respectively. The annual impairment test was performed resulting in no impairment charges for the years ended December 31, 2024 or 2023.

Intangible assets are amortized over the terms of the agreements. The balance, net of accumulated amortization, was \$11,688 and \$8,123 as of December 31, 2024 and 2023, respectively.

Notes Receivable

As part of the recruitment and retention process, notes with forgiveness provisions may be issued to certain providers, employees, and students. Notes are repayable over periods varying from one to ten years and are issued at current interest rates. As of December 31, 2024 and 2023, notes receivable from providers, employees, and students totaled \$73,821 and \$67,442, respectively, with balances due or to be forgiven within one year reported within other current assets and non-current balances outstanding reflected as notes receivable on the consolidated balance sheets.

Medical Claims Payable

Sanford's health plan entities are at risk for certain medical costs of their members, up to reinsurance limits. Reserves for medical claims are recorded in medical claims payable on the consolidated balance sheets and include amounts based on management's estimate for claims, which are expected to be paid after the consolidated balance sheet date, for services provided to members during the policy period. The estimates of costs incurred for obligations to provide services are based on both claims reported to Sanford's health plan entities, along with actuarial estimates of incurred but not yet reported medical services.

Medical claims payable includes a reserve for medical claims that is derived from actuarial estimates that are developed from historical data, cost trends, member and product mix, seasonality, utilization of healthcare services, contracted rates, and other relevant data. The estimates may change as actuarial methods change or as underlying facts upon which estimates are based change. While variability is inherent in these estimates, management believes that the reserve for medical claims is adequate. The estimates are continually reviewed and adjusted within medical claims in the statement of operations as necessary.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

2. Summary of Significant Accounting Policies (continued)

Deferred Compensation

Sanford offers eligible employees and providers the ability to participate in nonqualified plans created in accordance with applicable provisions of the Internal Revenue Code. The plans permit deferral of salary, and the accumulated deferred compensation balance is not available to employees or providers until a distributable event, as defined within the plan documents. All amounts of compensation deferred under the plans, and all income attributable to those amounts, are solely the property of Sanford until paid or made available to the employee, provider, or other beneficiary. The related assets are reported within assets whose use is limited at their fair market value, and the related liabilities are reported as noncurrent liabilities on the consolidated balance sheets.

Residential Housing Deposits

Housing deposits received from senior care residents in advance for admittance into residential units are typically refundable back to the resident upon their departure from residing in the unit. In certain limited instances, the deposit received in advance for admittance is nonrefundable based upon time restrictions and vacancy of the unit. The nonrefundable portion of the deposits are amortized into other operating revenue over the life expectancy of the occupant and fully recognized when the occupant vacates the unit. The current portion of the deposits are reported as current portion of other liabilities on the consolidated balance sheets.

Net Assets

Net assets not subject to donor-imposed stipulations are reflected as net assets without donor restrictions on the consolidated balance sheets. Net assets with donor restrictions are those whose use has been limited by donors to a specific purpose, period of time, or that must be maintained in perpetuity. Gifts with restrictions are recorded as contributions in net assets with donor restrictions.

When a restriction is met, or a donor-imposed restriction changes, net assets are reclassified and reported as net assets released from restrictions within other operating revenue, non-operating income (expense), or releases for acquisitions of property and equipment.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

2. Summary of Significant Accounting Policies (continued)

Any gifts received in advance of meeting the condition associated with the gift are recorded as deferred revenue. Amounts to which the condition will be met within one year are reported as within current portion of other liabilities and amounts to which the condition will be met after one year are reported as other non-current liabilities on the consolidated balance sheets. Once the condition for the gift is met, gifts without donor restrictions are recorded within other operating revenue and gifts with donor restrictions are recorded within net assets with donor restrictions.

Non-controlling Interest

Sanford has control, but less than 100% ownership in certain entities and accordingly has consolidated them into the financial statements for the years ended December 31, 2024 and 2023. The net assets attributed to the non-controlling interests are reported as net assets without donor restrictions – non-controlling interest.

Operating and Non-operating Activities

Sanford's primary objective of operations is to meet the healthcare needs of patients, residents, members, and communities. All activities directly associated with this objective are considered operating activities. Non-operating activities primarily include investment return and other expenses, which largely consist of contributions expense, pension plan termination adjustment, and income taxes.

Charity Care and Community Benefits

Sanford provides care to patients and residents without charge or at amounts less than its established rates regardless of their ability to pay. These patients and residents meet criteria as defined by Sanford's charity care policies. Sanford does not pursue collection of amounts determined to qualify as charity care. Accordingly, these amounts are not reported as patient or resident revenue. The total cost of charity care (estimated by applying an overall cost to charge ratio to the charges incurred) was \$92,956 and \$90,124 for the years ended December 31, 2024 and 2023, respectively.

Sanford also provides a variety of services and benefits designed to improve the health in the communities it serves. These benefits include education and promotion of health activities, civic involvement, community funding, and medical research.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

2. Summary of Significant Accounting Policies (continued)

Premium Revenue

Premium revenue represents gross premiums earned in the year for which fully insured members are covered. Premium revenue includes amounts paid by employer groups and individual members, as well as state and federal governments. Premiums are contractual and are recognized in the coverage period in which members are entitled to receive healthcare services. Premiums received in advance of a coverage period are recorded as other current liabilities on the consolidated balance sheets.

Other Operating Revenue

Other operating revenue is primarily generated by pharmacies, reference labs, mobile diagnostic services, and various other operations and are recognized when services are performed, or products are delivered. Other operating revenue also includes contributions without donor restrictions, and grant revenue.

Income Taxes

Certain wholly owned subsidiaries are subject to income taxes. Deferred income tax assets and liabilities are recognized for the differences between the financial and income tax reporting basis of assets and liabilities based on enacted tax rates and laws. A tax benefit from an uncertain tax position may be recognized when it is more likely than not that the position will be sustained upon examination.

The deferred income tax provision or benefit generally reflects the net change in deferred income tax assets and liabilities during the year. Deferred tax assets of \$230 and \$1,509 have been recorded in other assets on the consolidated balance sheets as of December 31, 2024 and 2023, respectively.

The current income tax provision reflects the tax consequences of revenues and expenses currently taxable or deductible on various income tax returns for the year reported. Sanford paid federal, state and foreign income taxes of \$4,166 and \$931 for the years ended December 31, 2024 and 2023, respectively.

Sanford

Notes to Consolidated Financial Statements (continued) *(Dollar Amounts in Thousands)*

2. Summary of Significant Accounting Policies (continued)

Performance Indicators

The accompanying consolidated statements of operations include income from operations as an operating measure of the net of revenues and expenses generated from healthcare related services that advance the objectives of Sanford. Income from operations excludes revenue and expenses from other activities and revenue and expenses that are not expected to recur on an annual ongoing basis. The exclusion of these items helps improve the comparability of Sanford's income from operations year-to-year, while also improving comparability across other healthcare providers.

The accompanying consolidated statements of operations also includes excess of revenues over expenses attributable to controlling interest as a performance measure of all non-operating activity, discontinued operations activity, and non-controlling interest changes, in addition to the income from operations operating measure. Excess of revenues over expenses attributable to controlling interest excludes pension plan termination adjustment and other changes, long-lived assets acquired using contributions, and other changes in net assets.

Reclassifications

Certain prior year amounts have been reclassified to conform to the current year presentation. These reclassifications had no effect on the reported results of operations and are immaterial in nature.

Subsequent Events

On January 1, 2025, Sanford became the sole corporate member, through an affiliation agreement, of Marshfield Clinic Health System, Inc. (MCHS), a Wisconsin not for profit corporation that provides healthcare services throughout central, northern, and western Wisconsin and a portion of the Upper Peninsula of Michigan. MCHS serves more than 310,000 patients and over 220,000 health plan members across 45,000 square miles. The integrated health system has 11 medical centers, 44 clinic locations, and 1,600 physicians and advanced practice providers. MCHS will be included in Sanford's consolidated financial statements beginning January 1, 2025. Upon receipt of the final valuation for the acquired assets and liabilities, Sanford will complete the necessary disclosures and the purchase price allocation.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

December 31, 2024

2. Summary of Significant Accounting Policies (continued)

Sanford has evaluated subsequent events through March 31, 2025, the date this report was issued, and no additional significant events have been identified other than the matter disclosed in Note 12.

3. Patient Revenue, Resident Revenue, and Accounts Receivable

Patient and resident revenue are reported at estimated net realizable amounts from patients, residents, third-party payors, and others that Sanford expects to receive in exchange for providing patient and resident care. Sanford determines performance obligations based on the nature of the services provided and revenue is recognized when those services are rendered. For services provided over a period of time, such as inpatients receiving acute care services or residents receiving post-acute care services, revenue recognition begins when the patient or resident is admitted and concludes at the time of discharge. Remaining performance obligations relating to inpatient acute care services or resident post-acute care services as of December 31, 2024, will be satisfied in full in 2025.

The initial estimate of patient and resident revenue is determined by reducing the gross charge by explicit price concessions (contractual adjustments) arising from various reimbursement arrangements with third-party payors and implicit price concessions provided to self-pay patients or residents for their respective responsibility. Sanford has elected to account for third-party payor, patient, and resident contracts as collective groups rather than individual contracts. The financial statement effects of using this practical expedient are not materially different from an individual contract approach.

Sanford grants credit without collateral to its patients and residents, most of whom carry insurance for the health services they are receiving. Sanford participates in Medicare, Medicaid, Blue Cross, and other third-party payor programs. Contractual adjustments are accrued on an estimated basis in the period in which the services are rendered based on the respective contractual agreements and historical experience. Certain reimbursement arrangements are subject to retroactive audit, and as a result, there is a reasonable possibility that recorded estimates could change upon audit. Differences between amounts estimated and final settlements are included in operations in the year in which the differences become known.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

3. Patient Revenue, Resident Revenue, and Accounts Receivable (continued)

Generally, patients and residents who are covered by insurance are responsible for related deductibles and coinsurance, which Sanford estimates the corresponding ability to collect based on historical experience, current market conditions, and information gathered based on the patient's or resident's ability to pay. Subsequent changes as a result of adverse changes in the patient's or resident's ability to pay are recorded as adjustments to patient or resident revenue in the period of the change. Such changes for the years ended December 31, 2024 and 2023 were not material.

The percentage of patient revenue, resident revenue, and accounts receivable as of and for the years ended December 31 was as follows:

	Patient		Resident	
	2024	2023	2024	2023
Revenue:				
Medicare	33.8%	34.6%	10.2%	11.5%
Medicaid	9.9	9.9	47.4	46.6
Blue Cross	26.3	26.3	—	—
Other third-party payors	29.7	28.1	10.9	9.2
Self-pay and other	0.3	1.1	31.5	32.7
	100.0%	100.0%	100.0%	100.0%
Accounts receivable:				
Medicare	27.8%	25.3%	10.0%	12.6%
Medicaid	10.2	9.7	33.1	39.8
Blue Cross	21.7	20.7	—	—
Other third-party payors	30.9	35.2	20.2	16.5
Self-pay and other	9.4	9.1	36.7	31.1
	100.0%	100.0%	100.0%	100.0%

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

4. Fair Value Measurements

Assets and liabilities recorded at fair value in the financial statements are categorized, for disclosure purposes, based upon whether the inputs used to determine their fair values are observable or unobservable. A three-level value hierarchy is used for disclosure of fair value measurements that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to unobservable inputs (Level 3). Valuation techniques used need to maximize the use of observable inputs and minimize the use of unobservable inputs.

The three levels of the fair value hierarchy under Accounting Standards Codification 820, *Fair Value Measurement*, are described as follows:

- Level 1 – Inputs to the valuation methodology are unadjusted quoted prices for identical assets or liabilities in active markets that Sanford has the ability to access.
- Level 2 – Inputs to the valuation methodology include directly or indirectly observable inputs other than Level 1 inputs, such as quoted prices for similar instruments in active or inactive markets, quoted prices for identical instruments in inactive markets, or inputs that are observable or can be corroborated by observable market data. If the asset or liability has a specified (contractual) term, the Level 2 input must be observable for substantially the full term of the asset or liability.
- Level 3 – Inputs to the valuation methodology are unobservable and are related to the instruments that are supported by little or no market activity using pricing models, discounted cash flow methodologies, or similar valuation techniques.

A financial instrument's categorization within the valuation hierarchy is based upon the lowest level of input that is significant to the fair value measurement. Sanford's policy for recording transfers is at the end of the period for which the transfer happened. There were no transfers between levels during the years ended December 31, 2024 or 2023.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

4. Fair Value Measurements (continued)

The following is a description of the valuation methodologies used for assets measured at fair value.

Financial assets include short-term investments and debt service funds in other current assets, investments, and assets whose use is limited and are recorded at their estimated fair value. Fair values of debt and equity securities are based on quoted market prices, where available. Information is obtained from custodians of the financial instruments and their third-party pricing services to establish fair value, which generally uses quoted or other observable inputs for the determination of fair value. The information is reviewed, and for many instruments whose pricing inputs are readily observable in the market, the valuation methodology is accepted by market participants and involves little to no judgment. For instruments whose pricing inputs are less observable in the marketplace, inputs can be subjective in nature and involve uncertainties. Management uses this information to distribute the instruments among the three-level hierarchy.

Changes in the reported market values and returns are compared to relevant market indices to test the reasonableness of the reported fair values of the underlying debt and equity securities. This internal review of fair value methodology has not historically resulted in adjustment in the process obtained from the custodians.

Fair values of debt securities that do not trade on a regular basis in active markets but are priced using other observable inputs are classified as Level 2.

Fair value estimates for Level 1 and Level 2 equity securities are based on quoted market prices for actively traded equity securities or other market data for the same or comparable instruments and transactions in establishing the prices. Generally, Level 2 fixed income securities are valued based on quoted prices for similar instruments, including the assets held in the defined benefit plans as referenced in Note 10. There were no financial assets recorded at fair value classified as Level 3 as of December 31, 2024 or 2023.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

4. Fair Value Measurements (continued)

Financial assets measured at fair value are summarized in the following tables:

	Level 1	Level 2	Total
December 31, 2024			
Assets:			
Money market funds	\$ 287,986	\$ —	\$ 287,986
Equity mutual and exchange traded funds	635,652	—	635,652
Common stocks	236	—	236
Participant-directed deferred compensation assets	233,114	—	233,114
Fixed income mutual and exchange traded funds	623,976	—	623,976
U.S. government securities	169,476	—	169,476
Government sponsored enterprise securities	—	23,031	23,031
Government sponsored enterprise mortgage backed securities	—	62,033	62,033
Corporate debt securities	—	692,992	692,992
Municipal bonds	—	211,714	211,714
Other	—	19,214	19,214
Total assets valued at fair value	<u>\$ 1,950,440</u>	<u>\$ 1,008,984</u>	2,959,424
Alternative investments			97,642
			<u>\$ 3,057,066</u>
Assets reported as:			
Short-term investments			\$ 323,385
Debt service funds in other current assets			379
Investments			2,494,225
Assets whose use is limited:			
Regulatory and reserve funds			5,963
Deferred compensation funds			233,114
			<u>\$ 3,057,066</u>

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

4. Fair Value Measurements (continued)

Financial assets measured at fair value are summarized in the following tables:

	Level 1	Level 2	Total
December 31, 2023			
Assets:			
Money market funds	\$ 281,051	\$ —	\$ 281,051
Equity mutual and exchange traded funds	357,530	—	357,530
Common stocks	193	—	193
Participant-directed deferred compensation assets	201,304	—	201,304
Fixed income mutual and exchange traded funds	683,798	—	683,798
U.S. government securities	82,326	—	82,326
Government sponsored enterprise securities	—	31,228	31,228
Government sponsored enterprise mortgage backed securities	—	43,771	43,771
Corporate debt securities	—	677,931	677,931
Municipal bonds	—	294,978	294,978
Other	—	20,032	20,032
Total assets valued at fair value	<u>\$ 1,606,202</u>	<u>\$ 1,067,940</u>	2,674,142
Alternative investments			120,294
			<u>\$ 2,794,436</u>
Assets reported as:			
Short-term investments			\$ 285,632
Debt service funds in other current assets			264
Investments			2,269,119
Assets whose use is limited:			
Regulatory and reserve funds			38,117
Deferred compensation funds			201,304
			<u>\$ 2,794,436</u>

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

4. Fair Value Measurements (continued)

A portion of Sanford's investment portfolio is in alternative investments, which generally consist of limited partnerships that invest in domestic and global equities or real estate that are not readily marketable, and, as a result, are valued at NAV, cost less impairment, or using the equity method. The values of the securities held by the limited partnerships that do not have readily determinable values are based on historical cost, appraisals, operating performance, or other valuation estimates that require varying degrees of judgment and qualitative observations. There is inherent uncertainty in such valuations, and the estimated fair values may differ from the values that would have been used had a ready market for the securities existed. Generally, the investment balance of Sanford's holdings in alternative investments reflects net contributions to the partnerships and Sanford's share of realized and unrealized investment income and expenses.

Domestic and global equities include investments in certain domestic and global healthcare technologies and companies. Real estate investments include a diversified portfolio primarily focused on opportunities in the acquisition, development, redevelopment, operation, and management of real estate properties. Private debt securities include investments in fixed income instruments comprised of broadly syndicated bank loans.

Alternative investments consisted of the following:

	December 31		Unfunded		Redemption	Redemption
	2024	2023	Commitments		Frequency (if Currently Eligible)	Notice Period
Domestic and global equities	\$ 57,484	\$ 82,193	\$	11,023	Limited	N/A
Real estate private equities	20,618	18,965		2,000	Limited	N/A
Real estate private equities	11,177	10,589		—	Quarterly	2 days
Private debt securities	8,363	8,547		—	Quarterly	30 days
	<u>\$ 97,642</u>	<u>\$ 120,294</u>	<u>\$</u>	<u>13,023</u>		

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

5. Liquidity and Availability

As part of Sanford's cash management, cash and investments feature a high degree of safety and liquidity to support general expenditures and debt service payable within one year in the normal course of operations. Financial assets available within one year as of December 31 consisted of the following:

	<u>2024</u>	<u>2023</u>
Cash	\$ 182,449	\$ 105,545
Short-term investments	323,385	285,632
Accounts receivable	909,193	936,994
Debt service funds in other current assets	379	264
Notes and contributions receivable in other current assets	79,768	27,790
Investments, less alternative investments with limited liquidity	2,416,123	2,167,961
	<u>\$ 3,911,297</u>	<u>\$ 3,524,186</u>

Financial assets such as assets whose use is limited and non-current notes and contributions receivable are not available for general expenditure and debt service payable within the next year and are not reflected in the amounts above.

In addition, as discussed in Note 12, Sanford can access liquidity through a line of credit agreement of up to \$200,000 and can issue commercial paper up to an authorized amount of \$300,000. There were no draws on the line of credit as of December 31, 2024 and 2023. Total commercial paper issued was \$225,000 as of December 31, 2024.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

6. Investment Return

The following schedule summarizes investment return and its classification in the consolidated statements of operations and changes in net assets:

	<u>2024</u>	<u>2023</u>
Without donor restrictions – other operating revenue:		
Dividend and interest income	\$ 40,890	\$ 35,057
Without donor restrictions – non-operating:		
Dividend and interest income	62,889	79,209
Net realized gain on sales of investments	13,641	394
Unrealized (loss) gain	(55,698)	66,881
	<u>20,832</u>	<u>146,484</u>
With donor restrictions:		
Dividend and interest income	4,453	3,448
Net realized gain (loss) on sales of investments	6,169	(1,879)
Unrealized gain	6,977	18,493
	<u>17,599</u>	<u>20,062</u>
	<u>\$ 79,321</u>	<u>\$ 201,603</u>

7. Property and Equipment

Property and equipment consisted of the following:

	<u>2024</u>	<u>2023</u>
Land and land improvements	\$ 443,851	\$ 451,838
Buildings	2,833,787	2,701,877
Building equipment	594,685	513,349
Movable equipment	1,481,245	1,419,985
Construction-in-process	206,734	219,947
	<u>5,560,302</u>	<u>5,306,996</u>
Accumulated depreciation	(2,848,084)	(2,795,403)
	<u>\$ 2,712,218</u>	<u>\$ 2,511,593</u>

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

8. Investment in Joint Ventures

Sanford records investments in joint ventures using the equity method. Earnings and losses are included within other operating revenue. As of December 31, 2024 and 2023, investments in joint ventures consisted of organizations in which Sanford's ownership interest ranges from 10% to 50%. The collective financial position of the joint ventures is as follows:

	2024	2023
Total assets	\$ 185,753	\$ 185,099
Total operating revenues	120,065	120,726
Income from operations	8,119	13,237

Sanford's share of net gains, new equity contributions, and distributions received from joint ventures are summarized as follows:

	2024	2023
Net gains on investments in joint ventures	\$ 3,011	\$ 4,035
New equity contributions into joint ventures	3,558	17,945
Distributions received from joint ventures	2,834	2,917

9. Operating Leases

Future payments due under operating leases are as follows:

Year ending December 31:	
2025	\$ 24,164
2026	20,428
2027	17,765
2028	13,450
2029	10,355
Thereafter	37,595
	123,757
Less present value discount	(20,623)
	<u>\$ 103,134</u>

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

9. Operating Leases (continued)

The weighted average discount rate for operating leases was 4.3% and 4.6% for the years ended December 31, 2024 and 2023, respectively. The weighted average remaining lease term for operating leases was 7.5 years and 7.0 years for the years ended December 31, 2024 and 2023, respectively. Lease expense associated with operating leases was \$31,726 and \$30,553 for the years ended December 31, 2024 and 2023, respectively, which is reported in purchased services and other in the statement of operations.

10. Pension Plans

Defined Contribution Retirement Plans

Sanford has defined contribution retirement plans that are available to all eligible employees. Employer contributions are based on a percentage of annual compensation and employee contribution levels. Employee and employer contributions are deposited with the plan trustee who invests the plan assets. Defined contribution retirement costs of \$123,447 and \$116,458 were recognized as part of salaries and benefits for the years ended December 31, 2024 and 2023, respectively.

Defined Benefit Pension Plans

Sanford had one defined benefit pension plan that provided benefits based on years of service and compensation (referred to as “the Plan”). The Plan terminated effective March 31, 2023. In January 2024, Sanford purchased a group annuity contract from an insurance company and transferred all projected benefit obligations related to the Plan to the insurance company. Sanford contributed \$2,516 in settlement of the net pension obligation during 2024, resulting in a final settlement charge of \$44,822 in 2024.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

10. Pension Plans (continued)

Obligation and Funded Status

Defined benefit pension obligations and funded status are measured as of, and changes for the year ended December 31, 2023, are as follows:

Change in benefit obligation:	
Benefit obligation, beginning of year	\$ 278,109
Service cost	241
Interest cost	14,753
Actuarial loss	24,413
Benefits paid	(19,842)
Settlements	(46,253)
Benefit obligation, end of year	<u>251,421</u>
Change in plan assets:	
Fair value of plan assets, beginning of year	283,240
Gain on plan assets	19,219
Benefits paid	(19,842)
Settlements	(46,253)
Fair value of plan assets, end of year	<u>236,364</u>
Funded status:	
Benefit obligation in excess of plan assets	<u>\$ 15,057</u>
Amounts recognized in net assets without donor restrictions consisting of net actuarial loss	<u>\$ 57,364</u>
Accumulated benefit obligation	<u>\$ 251,421</u>
Weighted average of assumptions used to determine end of year obligations:	
Discount rate	4.43%

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

10. Pension Plans (continued)

Components of Net Periodic Pension Cost

Components of net periodic pension cost for the year ended December 31, 2023, are as follows:

Service cost	\$ 241
Interest cost	14,753
Expected return on plan assets	(15,677)
Settlement loss	10,553
Net periodic pension cost	<u>\$ 9,870</u>
Weighted average of assumptions used to determine net periodic cost	
Discount rate	5.50%
Plan assets expected long-term rate of return	5.25
Rate of compensation increase	3.00

Service cost is included in salaries and benefits expense and all other components of the net periodic pension cost are included in other expenses within non-operating income (expense).

Plan Assets

The pension plan weighted average asset allocations by asset category for the year ended December 31, 2023, are as follows:

Debt investments	96%
Cash equivalents	4
	<u>100%</u>

With the Plan termination, Sanford hedged the Plan's interest rate and duration risk by investing in fixed income to preserve the plan funded status and mitigate risk exposure of the final settlement of the Plan. The expected long-term rate of return for the Plan was based on historical experience and the go forward investment allocation. Management believed this was an appropriate rate of return until final settlement of the plan as the fixed income securities were liquidated and converted to cash in preparation of the group annuity contract purchase in January 2024.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

10. Pension Plans (continued)

Financial assets of the qualified plans were measured at fair value on a recurring basis as of December 31, 2023, and are summarized in the following tables by type of inputs (see Note 4) applicable to the fair value measurements:

	Level 1	Level 2	Total
Master Plan:			
Money market funds	\$ 7,291	\$ —	\$ 7,291
Fixed income mutual and exchange traded funds	190,218	—	190,218
U.S. government securities	4,776	—	4,776
Government sponsored enterprise securities	—	1,023	1,023
Government sponsored enterprise mortgage backed securities	—	2,068	2,068
Corporate debt securities	—	22,901	22,901
Municipal bonds	—	6,533	6,533
Other	—	1,554	1,554
	<u>\$ 202,285</u>	<u>\$ 34,079</u>	<u>\$ 236,364</u>

11. Residential Housing Deposits

Residential housing deposits consisted of the following:

	2024	2023
Refundable portion	\$ 67,239	\$ 70,005
Nonrefundable portion	4,361	4,273
Total residential housing deposits	71,600	74,278
Less current portion	(7,843)	(10,169)
	<u>\$ 63,757</u>	<u>\$ 64,109</u>

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

12. Debt

Sanford and certain of its wholly owned entities entered into a first amended and restated Master Trust Indenture (MTI) dated November 1, 2019. Members of the Obligated Group are jointly and severally obligated for the debt issued and guaranteed under the MTI.

Long-term debt consisted of the following:

	Interest Structure	Interest Rates	Final Maturity	December 31 2024	December 31 2023
Bonds payable:					
Series 1997	Variable	0.90% to 5.45%	November 2027	\$ 1,100	\$ 1,430
Series 2000	Variable	0.50% to 5.05%	November 2025	330	645
Series 2004B	Variable	1.30% to 5.85%	November 2034	11,625	12,075
Series 2010	Fixed	3.38%	December 2025	304	660
Series 2012A	Fixed	1.83%	September 2024	—	2,050
Series 2012B	Fixed	2.39%	September 2031	20,170	22,110
Series 2012C	Fixed	1.38%	September 2024	—	55
Series 2012D	Fixed	1.97%	September 2032	21,200	23,520
Series 2014A	Fixed	4.00%	November 2034	49,600	52,000
Series 2014B	Fixed	4.00% to 5.00%	November 2044	152,610	157,020
Series 2015	Fixed	4.00% to 5.00%	November 2045	141,665	146,475
Series 2016	Fixed	1.92%	November 2026	10,000	15,000
Series 2019A	Fixed	4.00% to 5.00%	November 2049	299,265	310,420
Series 2019B	Fixed	2.50% to 3.85%	November 2049	341,385	350,430
Series 2021	Fixed	1.23% to 3.17%	November 2052	239,900	243,245
Total bonds payable				1,289,154	1,337,135
Notes payable:					
Bank notes	Fixed	1.52% to 2.50%	April 2032	50,936	61,680
Other	Fixed	0.00% to 2.85%	June 2031	4,070	6,190
Total notes payable				55,006	67,870
Finance lease obligations	Fixed	3.00% to 7.19%	November 2028	3,287	—
Total principal outstanding				1,347,447	1,405,005
Net unamortized bond premiums and deferred financing costs				56,145	61,510
Total debt				1,403,592	1,466,515
Less current maturities				(72,005)	(67,609)
Total long-term portion of debt				\$ 1,331,587	\$ 1,398,906

Sanford

Notes to Consolidated Financial Statements (continued)

(Dollar Amounts in Thousands)

12. Debt (continued)

Sanford has access to a line of credit through U.S. Bank National Association under which it may advance up to \$200,000. The line of credit, subject to a variable interest rate, is an obligation of the Obligated Group secured by a note under the MTI. As of December 31, 2024 and 2023, there were no amounts outstanding on the line of credit. In January 2025, the line of credit's expiration date was extended from January 31, 2025 to January 29, 2026.

In 2024, Sanford established a taxable commercial paper program with an authorized issuance amount up to \$300,000, of which \$225,000 was issued as of December 31, 2024. The maximum maturity for commercial paper is 270 days. As such, commercial paper is classified as a current liability on the consolidated balance sheets and is recorded net of discount.

Relating to Series 1997 and 2000, the Obligated Group provides internal liquidity support in the event respective bonds are tendered for repurchase and not remarketed, and as such, the outstanding principal has been classified as a current maturity of long-term debt.

Payment of the principal of the Series 2004B Note Obligations plus up to 60 days interest are secured by an irrevocable direct payment letter of credit, issued by U.S. Bank National Association, at the request of the Obligated Group. Draws on the letter of credit are due 367 days after the draw. The letter of credit expires November 1, 2026.

All note obligations related to bond issues are secured by security interests in gross receipts excluding grants, bequests, and donations which are designated as to purpose. Debt agreements contain covenants related to coverage of annual debt service and days cash on hand as defined in the agreements. Sanford was in compliance with the financial covenants as of December 31, 2024 and 2023.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

12. Debt (continued)

Scheduled principal payments of long-term debt as of December 31, 2024, are as follows:

	Bonds Payable	Notes Payable	Total
Year ending December 31:			
2025	\$ 50,024	\$ 15,439	\$ 65,463
2026	51,220	12,030	63,250
2027	48,870	12,731	61,601
2028	55,005	3,567	58,572
2029	60,315	3,725	64,040
Thereafter	1,023,720	7,514	1,031,234
	<u>\$ 1,289,154</u>	<u>\$ 55,006</u>	<u>\$ 1,344,160</u>

13. Commitments and Contingencies

Professional Liability

Sanford carries professional and general liability insurance through a combination of self-insured retention and commercial insurance carriers. Amounts accrued are included in current portion of other liabilities and other noncurrent liabilities on the consolidated balance sheets. The current claims made policy provides for a self-insured retention for both professional and general liability with up to an \$25,000 annual aggregate as of December 31, 2024.

Excess coverage of \$80,000 for hospitals and clinics and \$115,000 for senior care is provided by various carriers and layers. The excess coverage provides a dedicated excess limit of coverage for professional and general liability claims from other liability coverage, such as workers' compensation, aviation, auto, and ambulance liability, all of which are covered by the excess insurance program.

Sanford

Notes to Consolidated Financial Statements (continued) *(Dollar Amounts in Thousands)*

13. Commitments and Contingencies (continued)

Workers' Compensation

Sanford has limited its losses to a maximum of \$2,000 of any one workers' compensation occurrence. Amounts accrued as current portion of other liabilities and other noncurrent liabilities and charged to expense include plan expenses and estimated losses of claims incurred that will be paid based on prior claims experience. North Dakota sites are insured through the state operated North Dakota Workforce Safety and Insurance program.

Group Health Insurance Benefit

For eligible employees who elect to participate, Sanford provides a self-funded insurance program for health benefits. Sanford accrues expenses equal to its portion of estimated plan liabilities and has limited its losses on individual claims to \$1,000 per member per year through a stop-loss reinsurance agreement.

Other Commitments and Contingencies

Under the laws of the states of South Dakota, Nebraska, and Minnesota, Sanford is required to maintain a minimum net worth based on the Company Action Level of Risk-Based Capital for the fully insured business lines. Sanford has met the minimum net worth requirements.

The healthcare industry is subject to numerous laws and regulations of federal, state, and local governments. Compliance with these laws and regulations can be subject to government review and interpretation, as well as regulatory actions unknown and unasserted at this time. Sanford is not aware of any allegations of noncompliance with current laws and regulations that could have a material adverse impact on the consolidated financial statements.

Sanford is a defendant in various lawsuits arising in the ordinary course of business. Although the outcome of these lawsuits cannot be predicted with certainty, management believes the ultimate disposition of such matters will not have a material effect on the consolidated financial statements.

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

14. Net Assets With Donor Restrictions

Net assets with donor restrictions include net assets subject to the passage of time, expenditures for specific purposes, and net assets to be held in perpetuity, which consisted of the following:

	2024	2023
Net assets subject to expenditures for specific purposes:		
Women's health	\$ 56,604	\$ 59,653
Senior care	12,244	10,838
Children's fitness	6,983	7,595
Programs, services, and equipment	111,160	100,807
	186,991	178,893
Net assets to be held in perpetuity:		
Endowments, income restricted by donors	111,232	109,341
Endowments, income not restricted by donors	4,672	5,863
	115,904	115,204
Net assets with donor restrictions	\$ 302,895	\$ 294,097

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

14. Net Assets With Donor Restrictions (continued)

Changes in net assets with donor restrictions that are to be held in perpetuity were as follows:

	<u>2024</u>	<u>2023</u>
Beginning of year	\$ 115,204	\$ 119,149
Contributions	2,397	548
Investment return (loss)	64	17
Net assets released from restriction	(1,761)	(4,510)
End of year	<u>\$ 115,904</u>	<u>\$ 115,204</u>

Available endowment earnings are appropriated in accordance with donor restrictions. There were no deficiencies reported in net assets with donor restrictions as of December 31, 2024.

Net assets are released from restrictions by incurring expenses or acquiring property and equipment that meet the requirements of donor restrictions. Net assets released from restrictions for the various purposes were as follows:

	<u>2024</u>	<u>2023</u>
Operating and non-operating expenses	\$ 24,223	\$ 25,529
Property and equipment	13,481	7,428
	<u>\$ 37,704</u>	<u>\$ 32,957</u>

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

15. Functional Expenses

Sanford provides healthcare, senior care, and healthcare financing services to meet these needs of individuals. The consolidated statements of operations report expenses based on natural classification that are attributable to more than one program or support function. In order to present expenses on a functional basis, each department's purpose is evaluated and analyzed, and expenses are attributed to the respective function accordingly.

The costs of providing program and other activities on a functional basis were as follows:

	Healthcare	Senior Care	Health Plan	Research and Other	General	Total
Year ended December 31, 2024						
Salaries and benefits	\$2,982,091	\$ 424,049	\$ 35,210	\$ 48,295	\$ 279,894	\$3,769,539
Supplies	1,480,346	54,129	267	11,982	9,017	1,555,741
Purchased services and other	746,560	114,526	65,213	11,728	204,273	1,142,300
Medical claims	—	—	605,480	—	—	605,480
Depreciation and amortization	110,968	28,894	489	4,136	19,691	164,178
Interest	25,996	14,761	—	840	1,568	43,165
Total	\$5,345,961	\$ 636,359	\$ 706,659	\$ 76,981	\$ 514,443	\$7,280,403

	Healthcare	Senior Care	Health Plan	Research and Other	General	Total
Year ended December 31, 2023						
Salaries and benefits	\$2,783,240	\$ 381,953	\$ 30,617	\$ 46,625	\$ 258,419	\$3,500,854
Supplies	1,306,645	51,084	1,563	12,704	16,411	1,388,407
Purchased services and other	729,740	115,554	56,264	15,297	208,107	1,124,962
Medical claims	—	—	583,959	—	—	583,959
Depreciation and amortization	109,047	37,722	62	9,341	28,345	184,517
Interest	24,333	14,861	—	414	1,420	41,028
Total	\$4,953,005	\$ 601,174	\$ 672,465	\$ 84,381	\$ 512,702	\$6,823,727

Healthcare, senior care, health plan, and research and other are program services.

Sanford

Notes to Consolidated Financial Statements (continued) *(Dollar Amounts in Thousands)*

16. Assets and Liabilities Held for Sale and Discontinued Operations

In 2023, The Evangelical Lutheran Good Samaritan Society publicly announced its intent to consolidate services and investments in seven core states, which include South Dakota, North Dakota, Iowa, Minnesota, Nebraska, Kansas, and Colorado. Senior care locations outside of the seven state service area have transitioned to new senior care providers throughout 2024. Sanford is actively engaged with qualified buyers for remaining locations outside of the seven state service area. In 2024, Sanford entered into sales-type lease agreements related to the sale of certain facilities. The lease receivables are repayable over periods varying from one to three years and are issued at current interest rates. As of December 31, 2024, lease receivables totaled \$74,670 with balances due within one year reported within other current assets and non-current balances reported in other assets on the consolidated balance sheets.

Sanford has also transitioned a majority of the affordable housing line of business to qualified buyers.

All assets and liabilities associated with these locations have been classified as held for sale on the consolidated balance sheets, and all revenues and expenses classified as discontinued operations within the consolidated statements of operations as of and for the years ended December 31, 2024 and 2023, which is further summarized below.

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Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

16. Assets and Liabilities Held for Sale and Discontinued Operations (continued)

	<u>2024</u>	<u>2023</u>
Assets held for sale:		
Cash	\$ 106	\$ 1,183
Other current assets	305	1,088
Assets whose use is limited	880	944
Property and equipment, net	151,571	318,100
Other assets	31	14,086
Total assets held for sale	<u>\$ 152,893</u>	<u>\$ 335,401</u>
Liabilities held for sale:		
Other liabilities	\$ 6,653	\$ 6,308
Total debt	1,610	2,025
Residential housing deposits	7,834	36,540
Total liabilities held for sale	<u>\$ 16,097</u>	<u>\$ 44,873</u>
Net assets:		
Without donor restrictions – controlling interest	<u>\$ 136,796</u>	<u>\$ 290,528</u>
Gain (loss) from discontinued operations:		
Operating revenues	\$ 182,442	\$ 249,845
Operating expenses	(111,485)	(250,549)
Non-operating expense	(1,957)	(21,551)
Gain (loss) from discontinued operations	<u>\$ 69,000</u>	<u>\$ (22,255)</u>

Sanford

Notes to Consolidated Financial Statements (continued) (Dollar Amounts in Thousands)

17. Business Combination

On November 15, 2024, Sanford Health acquired Black Hills Surgical Hospital, L.L.P. and certain of its other related affiliates to further provide healthcare services in rural areas. Operations include a hospital, urgent care locations, and clinics in western South Dakota and eastern Wyoming. Sanford recognized the fair value of the assets acquired and liabilities assumed as of the acquisition date. Fair values were based on independent valuation assessments.

The allocation of the purchase price is as follows:

Cash	\$ 3,572
Accounts receivable	16,087
Other current assets and other assets	4,103
Goodwill and intangible assets	148,720
Property and equipment, net	79,283
Current liabilities	(11,433)
Total debt	(3,398)
	<u>\$ 236,934</u>

Supplementary Information

Sanford

Schedule of Expenditures of Federal Awards

Fiscal Period January 1, 2024 to December 31, 2024

Federal Awarding Agency/Program Title	Federal Assistance Listing	Additional Award Identification	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder/ Pass-Through Entity	Total Amount Provided to Sub-Recipients	Federal Expenditures	Federal Program Total	Cluster Name	Cluster Total
DEPARTMENT OF AGRICULTURE									
GUS SCHUMACHER NUTRITION INCENTIVE PROGRAM	10.331		Minnesota Department of Health	2022-70424-38551		\$30,585	\$30,585	N/A	\$0
NATIONAL SCHOOL LUNCH PROGRAM	10.555		North Dakota Department of Public Instruction	N/A		\$18,681	\$18,681	CHILD NUTRITION CLUSTER	\$18,681
SPECIAL SUPPLEMENTAL NUTRITION PROGRAM FOR WOMEN, INFANTS, AND CHILDREN	10.557		North Dakota Department of Human Services	G23.460		\$61,648	\$67,915	N/A	\$0
SPECIAL SUPPLEMENTAL NUTRITION PROGRAM FOR WOMEN, INFANTS, AND CHILDREN	10.557		South Dakota Department of Health	24SC091210/25SC091350		\$6,267	\$67,915	N/A	\$0
CHILD AND ADULT CARE FOOD PROGRAM	10.558		Nebraska Department of Agriculture	01-1003		\$17,385	\$1,637,454	N/A	\$0
CHILD AND ADULT CARE FOOD PROGRAM	10.558		South Dakota Department of Education	N/A		\$1,620,069	\$1,637,454	N/A	\$0
TOTAL DEPARTMENT OF AGRICULTURE						\$1,754,635			
DEPARTMENT OF DEFENSE									
MILITARY MEDICAL RESEARCH AND DEVELOPMENT	12.420				\$40,531	\$133,139	\$138,477	RESEARCH AND DEVELOPMENT	\$ 14,242,836
UNIFORMED SERVICES UNIVERSITY MEDICAL RESEARCH PROJECTS	12.750		Henry M. Jackson Foundation	HU0001-16-2-0006	\$0	\$5,338	\$138,477	RESEARCH AND DEVELOPMENT	\$ 14,242,836
TOTAL DEPARTMENT OF DEFENSE					\$40,531	\$138,477			
DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT									
SUPPORTIVE HOUSING FOR THE ELDERLY	14.157					\$90,954	\$90,954	N/A	\$0
EMERGENCY SOLUTIONS GRANT PROGRAM	14.231		Minnesota Department of Human Services	234003		\$53,680	\$183,603	N/A	\$0
EMERGENCY SOLUTIONS GRANT PROGRAM	14.231		Minnesota Department of Human Services	233003		\$129,923	\$183,603	N/A	\$0
SECTION 8 HOUSING CHOICE VOUCHERS	14.871					\$150,329	\$150,329	N/A	\$0
TOTAL DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT						\$424,886			
DEPARTMENT OF JUSTICE									
CRIME VICTIM ASSISTANCE	16.575		North Dakota Department of Corrections and Rehabilitation	15POVC-23-GG-00453-ASSI		\$57,072	\$163,642	N/A	\$0
CRIME VICTIM ASSISTANCE	16.575		South Dakota Department of Public Safety	15POVC-21-00598-ASSI		\$89,682	\$163,642	N/A	\$0
CRIME VICTIM ASSISTANCE	16.575		South Dakota Department of Public Safety	2025-COMBO-00009		\$16,888	\$163,642	N/A	\$0
RURAL DOMESTIC VIOLENCE, DATING VIOLENCE, SEXUAL ASSAULT, AND STALKING ASSISTANCE PROGRAM	16.589		Department of Justice	A22-0028-S004		\$2,481	\$2,481	N/A	\$0
IMPROVING THE INVESTIGATION AND PROSECUTION OF CHILD ABUSE AND THE REGIONAL AND LOCAL CHILDREN'S ADVOCACY CENTERS	16.758		National Children's Alliance	SIOU-SD-CHCORE23		\$133,627	\$172,045	N/A	\$0
IMPROVING THE INVESTIGATION AND PROSECUTION OF CHILD ABUSE AND THE REGIONAL AND LOCAL CHILDREN'S ADVOCACY CENTERS	16.758		National Children's Alliance	SIOU-SD-AIAN24		\$38,418	\$172,045	N/A	\$0
JUVENILE JUSTICE REFORM AND REINVESTMENT DEMONSTRATION PROGRAM	16.821					\$274,881	\$274,881	N/A	\$0
DOMESTIC TRAFFICKING VICTIM PROGRAM	16.834		National Children's Alliance	15PJDP-21-GK-02760-DTVF		\$72,926	\$72,926	N/A	\$0
TOTAL DEPARTMENT OF JUSTICE						\$685,975			
DEPARTMENT OF LABOR									
H-1B JOB TRAINING GRANTS	17.268				\$183,220	\$658,081	\$658,081	N/A	\$0
TOTAL DEPARTMENT OF LABOR					\$183,220	\$658,081			

Sanford

Schedule of Expenditures of Federal Awards

Fiscal Period January 1, 2024 to December 31, 2024

Federal Awarding Agency/Program Title	Federal Assistance Listing	Additional Award Identification	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder Pass-Through Entity	Total Amount Provided to Sub-Recipients	Federal Expenditures	Federal Program Total	Cluster Name	Cluster Total
DEPARTMENT OF TRANSPORTATION									
FORMULA GRANTS FOR RURAL AREAS AND TRIBAL TRANSIT PROGRAM	20.509		Nebraska Department of Transportation	PI2302		\$12,916	\$12,916	N/A	\$0
ENHANCED MOBILITY OF SENIORS AND INDIVIDUALS WITH DISABILITIES	20.513		Nebraska Department of Transportation	PI2432		\$61,231	\$61,231	TRANSIT SERVICES PROGRAMS CLUSTER	\$61,231
NATIONAL PRIORITY SAFETY PROGRAMS	20.616		North Dakota Department of Health	N/A		\$13,618	\$13,618	HIGHWAY SAFETY CLUSTER	\$13,618
TOTAL DEPARTMENT OF TRANSPORTATION						\$87,765			
NATIONAL AERONAUTICS AND SPACE ADMINISTRATION									
OFFICE OF STEM ENGAGEMENT	43.008		North Dakota State University	FAR0037446		\$1,652	\$1,652	RESEARCH AND DEVELOPMENT	\$14,242,836
TOTAL NATIONAL AERONAUTICS AND SPACE ADMINISTRATION						\$1,652			
INSTITUTE OF MUSEUM AND LIBRARY SERVICES OR NATIONAL ENDOWMENT FOR THE ARTS OR NATIONAL ENDOWMENT FOR THE HUMANITIES									
PROMOTION OF THE ARTS PARTNERSHIP AGREEMENTS	45.025		South Dakota Arts Council	N/A		\$7,069	\$7,069	N/A	\$0
TOTAL INSTITUTE OF MUSEUM AND LIBRARY SERVICES OR NATIONAL ENDOWMENT FOR THE ARTS OR NATIONAL ENDOWMENT FOR THE HUMANITIES						\$7,069			
NATIONAL SCIENCE FOUNDATION									
BIOLOGICAL SCIENCES	47.074					\$117,992	\$117,992	RESEARCH AND DEVELOPMENT	\$14,242,836
TOTAL NATIONAL SCIENCE FOUNDATION						\$117,992			
DEPARTMENT OF HEALTH AND HUMAN SERVICES									
CORONAVIRUS STATE AND LOCAL FISCAL RECOVERY FUNDS	21.027	COVID-19	South Dakota Department of Health	24SC096131		\$205,155	\$250,251	RESEARCH AND DEVELOPMENT	\$14,242,836
CORONAVIRUS STATE AND LOCAL FISCAL RECOVERY FUNDS	21.027	COVID-19	South Dakota Department of Health	24SC096130		\$45,096	\$250,251	RESEARCH AND DEVELOPMENT	\$14,242,836
SPECIAL PROGRAMS FOR THE AGING TITLE III, PART D, DISEASE PREVENTION AND HEALTH PROMOTION SERVICES	93.043		South Dakota Department of Human Services	9193-657-037 25		\$53,303	\$53,303	N/A	\$0
SPECIAL PROGRAMS FOR THE AGING TITLE IV AND TITLE II DISCRETIONARY PROJECTS	93.048		USAgings	90HDRC0007-01-00	\$107,863	\$395,084	\$395,084	N/A	\$0
PUBLIC HEALTH EMERGENCY PREPAREDNESS	93.069		South Dakota Department of Health	24SC090919		\$60,000	\$66,342	N/A	\$0
PUBLIC HEALTH EMERGENCY PREPAREDNESS	93.069		South Dakota Department of Health	24SC090462		\$6,342	\$66,342	N/A	\$0
BLOOD DISORDER PROGRAM: PREVENTION, SURVEILLANCE, AND RESEARCH	93.080		Great Lakes Hemophilia Foundation	ATHN2020CDC-VW-04		\$5,843	\$28,805	N/A	\$0
BLOOD DISORDER PROGRAM: PREVENTION, SURVEILLANCE, AND RESEARCH	93.080		Great Lakes Hemophilia Foundation	ATHN2020CDC-VW-05		\$22,962	\$28,805	N/A	\$0
COMPREHENSIVE COMMUNITY MENTAL HEALTH SERVICES FOR CHILDREN WITH SERIOUS EMOTIONAL DISTURBANCES	93.104		North Dakota Department of Health and Human Services	810-13982	\$53,357	\$271,861	\$271,861	N/A	\$0
MATERNAL AND CHILD HEALTH FEDERAL CONSOLIDATED PROGRAMS	93.110		Great Lakes Hemophilia Foundation	5 H30MC24052-13-00		\$17,079	\$152,674	N/A	\$0
MATERNAL AND CHILD HEALTH FEDERAL CONSOLIDATED PROGRAMS	93.110		Great Lakes Hemophilia Foundation	5 H30MC24052-13-00		\$10,676	\$152,674	N/A	\$0
MATERNAL AND CHILD HEALTH FEDERAL CONSOLIDATED PROGRAMS	93.110		North Dakota Department of Health	810-13713		\$124,919	\$152,674	N/A	\$0
ORAL DISEASES AND DISORDERS RESEARCH	93.121		Michigan State University	RC111319A		\$173,730	\$603,366	RESEARCH AND DEVELOPMENT	\$14,242,836
ORAL DISEASES AND DISORDERS RESEARCH	93.121				\$126,917	\$429,636	\$603,366	RESEARCH AND DEVELOPMENT	\$14,242,836
INJURY PREVENTION AND CONTROL RESEARCH AND STATE AND COMMUNITY BASED PROGRAMS	93.136		Minnesota Department of Health	241950		\$122,641	\$122,641	N/A	\$0
HUMAN GENOME RESEARCH	93.172		Vanderbilt University Medical Center	U01HG010232	\$33,801	\$190,106	\$190,106	RESEARCH AND DEVELOPMENT	\$14,242,836

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Schedule of Expenditures of Federal Awards

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Federal Awarding Agency/Program Title	Federal Assistance Listing	Additional Award Identification	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder Pass-Through Entity	Total Amount Provided to Sub-Recipients	Federal Expenditures	Federal Program Total	Cluster Name	Cluster Total
TELEHEALTH PROGRAMS	93.211					\$298,878	\$298,878	N/A	\$0
FAMILY PLANNING _ SERVICES	93.217		South Dakota Department of Health	24SC091445/25SC091445		\$256,987	\$256,987	N/A	\$0
STATE RURAL HOSPITAL FLEXIBILITY PROGRAM	93.241		South Dakota Department of Health	24SC090854/25SC090206		\$20,202	\$20,202	N/A	\$0
MENTAL HEALTH RESEARCH GRANTS	93.242		Massachusetts General Hospital	R15MH137623		\$5,357	\$384,012	RESEARCH AND DEVELOPMENT	\$14,242,836
MENTAL HEALTH RESEARCH GRANTS	93.242		University of Minnesota	N008286402		\$16,918	\$384,012	RESEARCH AND DEVELOPMENT	\$14,242,836
MENTAL HEALTH RESEARCH GRANTS	93.242		University of Minnesota	T32MH082761		\$80,522	\$384,012	RESEARCH AND DEVELOPMENT	\$14,242,836
MENTAL HEALTH RESEARCH GRANTS	93.242					\$281,215	\$384,012	RESEARCH AND DEVELOPMENT	\$14,242,836
SUBSTANCE ABUSE AND MENTAL HEALTH SERVICES _PROJECTS OF REGIONAL AND NATIONAL SIGNIFICANCE	93.243					\$119,866	\$1,077,755	N/A	\$0
SUBSTANCE ABUSE AND MENTAL HEALTH SERVICES _PROJECTS OF REGIONAL AND NATIONAL SIGNIFICANCE	93.243					\$47,549	\$1,077,755	N/A	\$0
SUBSTANCE ABUSE AND MENTAL HEALTH SERVICES _PROJECTS OF REGIONAL AND NATIONAL SIGNIFICANCE	93.243				\$37,219	\$346,410	\$1,077,755	N/A	\$0
SUBSTANCE ABUSE AND MENTAL HEALTH SERVICES _PROJECTS OF REGIONAL AND NATIONAL SIGNIFICANCE	93.243				\$190,997	\$563,930	\$1,077,755	N/A	\$0
IMMUNIZATION COOPERATIVE AGREEMENTS	93.268		North Dakota Department of Health	G21.847		\$76,201	\$161,662	N/A	\$0
IMMUNIZATION COOPERATIVE AGREEMENTS	93.268		North Dakota Department of Health	G21.848		\$46,502	\$161,662	N/A	\$0
IMMUNIZATION COOPERATIVE AGREEMENTS	93.268		North Dakota Department of Health and Human Services	G23.976		\$8,168	\$161,662	N/A	\$0
IMMUNIZATION COOPERATIVE AGREEMENTS	93.268		North Dakota Department of Health and Human Services	G23.977		\$20,125	\$161,662	N/A	\$0
IMMUNIZATION COOPERATIVE AGREEMENTS	93.268		South Dakota Department of Health	24SC091210/25SC091350		\$5,689	\$161,662	N/A	\$0
IMMUNIZATION COOPERATIVE AGREEMENTS	93.268		South Dakota Department of Health	24SC090461		\$4,977	\$161,662	N/A	\$0
ALCOHOL RESEARCH PROGRAMS	93.273		University of Minnesota	D010462201		\$10,980	\$239,879	RESEARCH AND DEVELOPMENT	\$14,242,836
ALCOHOL RESEARCH PROGRAMS	93.273				\$67,567	\$177,012	\$239,879	RESEARCH AND DEVELOPMENT	\$14,242,836
ALCOHOL RESEARCH PROGRAMS	93.273				\$24,514	\$51,887	\$239,879	RESEARCH AND DEVELOPMENT	\$14,242,836
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Iowa Department of Health	SHIPIA2024-25		\$13,360	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	231894		\$10,752	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	231884		\$10,817	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	231952		\$10,905	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	232003		\$10,883	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	231959		\$10,599	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	232007		\$10,817	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	231836		\$10,817	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		North Dakota Department of Health	27743S25/29112S24		\$10,986	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		North Dakota Department of Health	27743S26/29112S25		\$10,986	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	231965		\$10,043	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		Minnesota Department of Health	231976		\$10,861	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		South Dakota Department of Health	24SC093137/25SC093137		\$13,312	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		South Dakota Department of Health	24SC093106/25SC093106		\$13,312	\$211,768	N/A	\$0

Sanford

Schedule of Expenditures of Federal Awards

Fiscal Period January 1, 2024 to December 31, 2024

Federal Awarding Agency/Program Title	Federal Assistance Listing	Additional Award Identification	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder Pass-Through Entity	Total Amount Provided to Sub-Recipients	Federal Expenditures	Federal Program Total	Cluster Name	Cluster Total
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		South Dakota Department of Health	24SC093107/25SC093107		\$13,312	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		South Dakota Department of Health	24SC093139/25SC093139		\$13,312	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		South Dakota Department of Health	24SC093105/25SC093105		\$13,312	\$211,768	N/A	\$0
SMALL RURAL HOSPITAL IMPROVEMENT GRANT PROGRAM	93.301		South Dakota Department of Health	24SC093101/25SC093101		\$13,382	\$211,768	N/A	\$0
TRANS-NIH RESEARCH SUPPORT	93.310		University of South Dakota	U01HL152410		\$1,801	\$1,801	RESEARCH AND DEVELOPMENT	\$14,242,836
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$13,524	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$9,450	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$19,600	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$19,975	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$800	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$17,500	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$19,025	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$20,000	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$19,000	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$20,000	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$15,725	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$228	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$12,180	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$12,620	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$12,000	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$10,000	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$5,860	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$20,000	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$12,261	\$270,438	N/A	\$0
EPIDEMIOLOGY AND LABORATORY CAPACITY FOR INFECTIOUS DISEASES (ELC)	93.323		South Dakota Department of Health	24SC091863		\$10,690	\$270,438	N/A	\$0
NATIONAL CENTER FOR ADVANCING TRANSLATIONAL SCIENCES	93.350					\$27,784	\$27,784	RESEARCH AND DEVELOPMENT	\$14,242,836
SICKLE CELL TREATMENT DEMONSTRATION PROGRAM	93.365		Children's Hospital Medical Center	2 U1EMC27863-08-00		\$10,165	\$10,165	RESEARCH AND DEVELOPMENT	\$14,242,836

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Schedule of Expenditures of Federal Awards

Fiscal Period January 1, 2024 to December 31, 2024

Federal Awarding Agency/Program Title	Federal Assistance Listing	Additional Award Identification	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder Pass-Through Entity	Total Amount Provided to Sub-Recipients	Federal Expenditures	Federal Program Total	Cluster Name	Cluster Total
TITLE: MULTIPLE APPROACHES TO SUPPORT YOUNG BREAST CANCER SURVIVORS AND METASTATIC BREAST CANCER PATIENTS (B)	93.376					\$380,157	\$380,157	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	Hennepin Healthcare Research Institute	14360-09		\$115,195	\$621,268	RESEARCH AND DEVELOPMENT	\$14,242,836
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	South Dakota Department of Health	24SC090792		\$64,484	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391		American Medical Directors Association	NH23IP922655		\$79,630	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	South Dakota Department of Health	24SC090790		\$27,625	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	South Dakota Department of Health	24SC090793		\$28,246	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	South Dakota Department of Health	24SC90794		\$21,772	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	South Dakota Department of Health	24SC090799		\$21,567	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	South Dakota Department of Health	24SC90791		\$20,889	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	South Dakota Department of Health	24SC90795		\$25,687	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391	COVID-19	South Dakota Department of Health	24SC090943		\$122,832	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391		Minnesota Department of Health	NH75OT000032		\$17,798	\$621,268	N/A	\$0
ACTIVITIES TO SUPPORT STATE, TRIBAL, LOCAL AND TERRITORIAL (STLT) HEALTH DEPARTMENT RESPONSE TO PUBLIC HEALTH OR HEALTHCARE CRISES	93.391		Minnesota Department of Health	240522		\$75,000	\$621,268	N/A	\$0
CANCER CAUSE AND PREVENTION RESEARCH	93.391		South Dakota Department of Health	24SC09H122		\$543	\$621,268	N/A	\$0
CANCER CAUSE AND PREVENTION RESEARCH	93.393		University of South Dakota	A24-0056-S001		\$6,878	\$335,546	RESEARCH AND DEVELOPMENT	\$14,242,836
CANCER TREATMENT RESEARCH	93.395					\$328,668	\$335,546	RESEARCH AND DEVELOPMENT	\$14,242,836
CANCER TREATMENT RESEARCH	93.395		University of Michigan	SUBK00017374		\$4,231	\$121,966	RESEARCH AND DEVELOPMENT	\$14,242,836
CANCER BIOLOGY RESEARCH	93.396					\$117,735	\$121,966	RESEARCH AND DEVELOPMENT	\$14,242,836
CANCER CONTROL	93.399				\$14,170	\$122,485	\$122,485	RESEARCH AND DEVELOPMENT	\$14,242,836
						\$1,056,005	\$1,056,005	RESEARCH AND DEVELOPMENT	\$14,242,836
IMPROVING THE HEALTH OF AMERICANS THROUGH PREVENTION AND MANAGEMENT OF DIABETES AND HEART DISEASE AND STROKE	93.426		North Dakota Department of Health and Human Services	G21.1320 / G23.921		\$36,498	\$147,724	N/A	\$0
IMPROVING THE HEALTH OF AMERICANS THROUGH PREVENTION AND MANAGEMENT OF DIABETES AND HEART DISEASE AND STROKE	93.426		South Dakota Department of Health	24SC090184/25SC090184		\$56,163	\$147,724	N/A	\$0
IMPROVING THE HEALTH OF AMERICANS THROUGH PREVENTION AND MANAGEMENT OF DIABETES AND HEART DISEASE AND STROKE	93.426		South Dakota Department of Health	24SC090511/25SC090511		\$4,400	\$147,724	N/A	\$0
IMPROVING THE HEALTH OF AMERICANS THROUGH PREVENTION AND MANAGEMENT OF DIABETES AND HEART DISEASE AND STROKE	93.426		South Dakota Department of Health	24SC090932		\$50,663	\$147,724	N/A	\$0
CHILD CARE AND DEVELOPMENT BLOCK GRANT	93.575		South Dakota Department of Social Services	24SC087005		\$3,345	\$1,320,999	CCDF CLUSTER	\$ 1,320,999
CHILD CARE AND DEVELOPMENT BLOCK GRANT	93.575		South Dakota Department of Social Services	24SC087001		\$3,790	\$1,320,999	CCDF CLUSTER	\$ 1,320,999
CHILD CARE AND DEVELOPMENT BLOCK GRANT	93.575		South Dakota Department of Social Services	24SC087005		\$6,054	\$1,320,999	CCDF CLUSTER	\$ 1,320,999

Sanford

Schedule of Expenditures of Federal Awards

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Federal Awarding Agency/Program Title	Federal Assistance Listing	Additional Award Identification	Name of Funder Pass-Through Entity	Identifying Number Assigned By Funder Pass-Through Entity	Total Amount Provided to Sub-Recipients	Federal Expenditures	Federal Program Total	Cluster Name	Cluster Total
CHILD CARE AND DEVELOPMENT BLOCK GRANT	93.575		South Dakota Department of Social Services	24SC087608/25SC087608		\$949,045	\$1,320,999	CCDF CLUSTER	\$ 1,320,999
CHILD CARE AND DEVELOPMENT BLOCK GRANT	93.575		South Dakota Department of Social Services	24SC087606/25SC087606		\$358,765	\$1,320,999	CCDF CLUSTER	\$ 1,320,999
ACA - REINVESTMENT OF CIVIL MONEY PENALTIES TO BENEFIT NURSING HOME RESIDENTS	93.636		Centers for Medicare & Medicaid Services	POFHMA202400001388		\$5,485	\$5,485	N/A	\$0
CHILD ABUSE AND NEGLECT STATE GRANTS	93.669		Minnesota Department of Human Services	GRK164280		\$78,004	\$81,590	N/A	\$0
CHILD ABUSE AND NEGLECT STATE GRANTS	93.669		Prevent Child Abuse ND	N/A		\$1,500	\$81,590	N/A	\$0
CHILD ABUSE AND NEGLECT STATE GRANTS	93.669		South Dakota Department of Social Services	24SC086001/25SC086001		\$2,086	\$81,590	N/A	\$0
EMPOWERING OLDER ADULTS AND ADULTS WITH DISABILITIES THROUGH CHRONIC DISEASE SELF-MANAGEMENT EDUCATION PROGRAMS D FINANCED BY PREVENTION AND PUBLIC HEALTH FUNDS (PPHF)	93.734					\$308,714	\$308,714	N/A	\$0
PREVENTIVE HEALTH AND HEALTH SERVICES BLOCK GRANT FUNDED SOLELY WITH PREVENTION AND PUBLIC HEALTH FUNDS (PPHF)	93.758		South Dakota Department of Health	24SC090356/25SC090356		\$1,998	\$20,312	N/A	\$0
PREVENTIVE HEALTH AND HEALTH SERVICES BLOCK GRANT FUNDED SOLELY WITH PREVENTION AND PUBLIC HEALTH FUNDS (PPHF)	93.758		South Dakota Department of Health	24SC090823/25SC090823		\$18,314	\$20,312	N/A	\$0
EVIDENCE-BASED FALLS PREVENTION PROGRAMS FINANCED SOLELY BY PREVENTION AND PUBLIC HEALTH FUNDS (PPHF)	93.761					\$42,099	\$216,388	N/A	\$0
EVIDENCE-BASED FALLS PREVENTION PROGRAMS FINANCED SOLELY BY PREVENTION AND PUBLIC HEALTH FUNDS (PPHF)	93.761					\$174,289	\$216,388	N/A	\$0
MEDICAL ASSISTANCE PROGRAM	93.778		Minnesota Department of Health	240348		\$232,008	\$232,008	MEDICAID CLUSTER	\$232,008
ORGANIZED APPROACHES TO INCREASE COLORECTAL CANCER SCREENING	93.800		South Dakota Department of Health	24SC090656/25SC090656		\$20,152	\$27,033	N/A	\$0
ORGANIZED APPROACHES TO INCREASE COLORECTAL CANCER SCREENING	93.800		South Dakota Department of Health	24SC091514/25SC091514		\$6,881	\$27,033	N/A	\$0
PUBLIC HEALTH RESPONSE, FORECASTING, AND ANALYTIC CAPACITIES RELATED TO DISEASE OUTBREAKS, EPIDEMICS, AND PANDEMICS	93.823		University of Minnesota	PO11215909		\$63,874	\$63,874	N/A	\$0
CARDIOVASCULAR DISEASES RESEARCH	93.837					\$402,970	\$402,970	RESEARCH AND DEVELOPMENT	\$14,242,836
DIABETES, DIGESTIVE, AND KIDNEY DISEASES EXTRAMURAL RESEARCH	93.847		University of South Florida	UC4 DK117009		\$3,250	\$1,664,926	RESEARCH AND DEVELOPMENT	\$14,242,836
DIABETES, DIGESTIVE, AND KIDNEY DISEASES EXTRAMURAL RESEARCH	93.847		University of South Florida	UC4 DK117009		\$10,230	\$1,664,926	RESEARCH AND DEVELOPMENT	\$14,242,836
DIABETES, DIGESTIVE, AND KIDNEY DISEASES EXTRAMURAL RESEARCH	93.847				\$200,230	\$445,474	\$1,664,926	RESEARCH AND DEVELOPMENT	\$14,242,836
DIABETES, DIGESTIVE, AND KIDNEY DISEASES EXTRAMURAL RESEARCH	93.847				\$11,170	\$764,211	\$1,664,926	RESEARCH AND DEVELOPMENT	\$14,242,836
EXTRAMURAL RESEARCH PROGRAMS IN THE NEUROSCIENCES AND NEUROLOGICAL DISORDERS	93.853		Mayo Clinic Jacksonville	U01NS080168		\$8,830	\$27,190	RESEARCH AND DEVELOPMENT	\$14,242,836
EXTRAMURAL RESEARCH PROGRAMS IN THE NEUROSCIENCES AND NEUROLOGICAL DISORDERS	93.853		H. Lee Moffitt Cancer Center & Research Institute	5-27364		\$14,289	\$27,190	RESEARCH AND DEVELOPMENT	\$14,242,836
EXTRAMURAL RESEARCH PROGRAMS IN THE NEUROSCIENCES AND NEUROLOGICAL DISORDERS	93.853		Rosalind Franklin University of Medicine	R01NS113233		\$4,071	\$27,190	RESEARCH AND DEVELOPMENT	\$14,242,836
ALLERGY, IMMUNOLOGY AND TRANSPLANTATION RESEARCH	93.855				\$6,145	\$30,590	\$73,992	RESEARCH AND DEVELOPMENT	\$14,242,836
ALLERGY, IMMUNOLOGY AND TRANSPLANTATION RESEARCH	93.855		Benaroya Research Institute at Virginia Mason	FY22ITN245 2R44AI170537-02		\$24,983	\$73,992	RESEARCH AND DEVELOPMENT	\$14,242,836
ALLERGY, IMMUNOLOGY AND TRANSPLANTATION RESEARCH	93.855		University of Illinois - Chicago	(P2WW01)		\$18,419	\$73,992	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859		University of North Dakota	U54GM128729		\$1,839	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859					\$413,336	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859				\$30,324	\$90,916	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859		University of North Dakota	UND0029620-S1, UND0029620-S2		\$96,116	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859		University of North Dakota	UND0029619-S1		\$15,925	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859		University of North Dakota	U54GM128729		\$66,527	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859					\$84,497	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859		University of North Dakota	U54GM128729		\$1,352	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859		University of North Dakota	U54GM128729	\$3,234	\$3,234	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859					\$343,587	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859		University of North Dakota	U54GM128729		\$724	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836

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BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859				\$125,394	\$1,067,217	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859				\$286,471	\$1,977,144	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859				\$5,012	\$94,224	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859				\$40,026	\$1,162,070	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859	COVID-19	University of North Dakota	UND00286838-SI		\$390,061	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
BIOMEDICAL RESEARCH AND RESEARCH TRAINING	93.859				\$341,302	\$1,575,929	\$7,384,698	RESEARCH AND DEVELOPMENT	\$14,242,836
CHILD HEALTH AND HUMAN DEVELOPMENT EXTRAMURAL RESEARCH	93.865		University of Iowa	S5284-03		\$68,286	\$178,901	RESEARCH AND DEVELOPMENT	\$14,242,836
CHILD HEALTH AND HUMAN DEVELOPMENT EXTRAMURAL RESEARCH	93.865		Trustees of Boston University	4500004806		\$350	\$178,901	RESEARCH AND DEVELOPMENT	\$14,242,836
CHILD HEALTH AND HUMAN DEVELOPMENT EXTRAMURAL RESEARCH	93.865					\$110,265	\$178,901	RESEARCH AND DEVELOPMENT	\$14,242,836
NATIONAL BIOTERRORISM HOSPITAL PREPAREDNESS PROGRAM	93.889		Minnesota Department of Health	253244		\$110,975	\$338,497	N/A	\$0
NATIONAL BIOTERRORISM HOSPITAL PREPAREDNESS PROGRAM	93.889		Minnesota Department of Health	160775		\$227,522	\$338,497	N/A	\$0
CANCER PREVENTION AND CONTROL PROGRAMS FOR STATE, TERRITORIAL AND TRIBAL ORGANIZATIONS	93.898		South Dakota Department of Health	24SC090265/25SC090265		\$10,787	\$33,147	N/A	\$0
CANCER PREVENTION AND CONTROL PROGRAMS FOR STATE, TERRITORIAL AND TRIBAL ORGANIZATIONS	93.898		South Dakota Department of Health	24SC090404/25SC090404		\$22,360	\$33,147	N/A	\$0
RURAL HEALTH CARE SERVICES OUTREACH, RURAL HEALTH NETWORK DEVELOPMENT AND SMALL HEALTH CARE PROVIDER QUALITY IMPROVEMENT	93.912				\$513,334	\$1,160,163	\$1,422,159	N/A	\$0
RURAL HEALTH CARE SERVICES OUTREACH, RURAL HEALTH NETWORK DEVELOPMENT AND SMALL HEALTH CARE PROVIDER QUALITY IMPROVEMENT	93.912					\$235,937	\$1,422,159	N/A	\$0
RURAL HEALTH CARE SERVICES OUTREACH, RURAL HEALTH NETWORK DEVELOPMENT AND SMALL HEALTH CARE PROVIDER QUALITY IMPROVEMENT	93.912					\$26,059	\$1,422,159	N/A	\$0
PPHF GERIATRIC EDUCATION CENTERS	93.969		University of North Dakota	U1Q33081-01-00		\$36,302	\$36,302	N/A	\$0
COOPERATIVE AGREEMENTS FOR DIABETES CONTROL PROGRAMS	93.982		South Dakota Department of Health	23SC08B392		\$2,177	\$2,177	N/A	\$0
MENTAL HEALTH DISASTER ASSISTANCE AND EMERGENCY MENTAL HEALTH	93.988		North Dakota Department of Health and Human Services	G23.920		\$978	\$23,478	N/A	\$0
COOPERATIVE AGREEMENTS FOR DIABETES CONTROL PROGRAMS	93.988		North Dakota Department of Health and Human Services	G21.1320/G23.921		\$22,500	\$23,478	N/A	\$0
PREVENTIVE HEALTH AND HEALTH SERVICES BLOCK GRANT	93.991		South Dakota Department of Health	24SC090986/25SC090315		\$7,007	\$7,007	N/A	\$0
MATERNAL AND CHILD HEALTH SERVICES BLOCK GRANT TO THE STATES	93.994		North Dakota Department of Health	G23.219		\$79,187	\$539,428	N/A	\$0
MATERNAL AND CHILD HEALTH SERVICES BLOCK GRANT TO THE STATES	93.994		North Dakota Department of Health	G23.220		\$26,590	\$539,428	N/A	\$0
MATERNAL AND CHILD HEALTH SERVICES BLOCK GRANT TO THE STATES	93.994		South Dakota Department of Health	24SC091210/25SC091350		\$2,248	\$539,428	N/A	\$0
MATERNAL AND CHILD HEALTH SERVICES BLOCK GRANT TO THE STATES	93.994		South Dakota Department of Health	24SC090912/25SC090912		\$269,630	\$539,428	N/A	\$0
MATERNAL AND CHILD HEALTH SERVICES BLOCK GRANT TO THE STATES	93.994		South Dakota Department of Health	24SC090783/25SC090783		\$161,773	\$539,428	N/A	\$0
NATIONAL CANCER INSTITUTE	93.RD		University of Chicago	75N91019D00024		\$43,082	\$793,477	RESEARCH AND DEVELOPMENT	\$14,242,836
NIAID HIV AND OTHER INFECTIOUS DISEASES CLINICAL RESEARCH SUPPORT SERVICES (CRSS)	93.RD	COVID-19	PPD Investigator Services	HHSN272201700078C		-\$6,833	\$793,477	RESEARCH AND DEVELOPMENT	\$14,242,836
NATIONAL CANCER INSTITUTE	93.RD					\$757,228	\$793,477	RESEARCH AND DEVELOPMENT	\$14,242,836
TOTAL DEPARTMENT OF HEALTH AND HUMAN SERVICES					\$2,219,047	\$23,085,667			
CORPORATION FOR NATIONAL AND COMMUNITY SERVICE									
SENIOR COMPANION PROGRAM	94.016			21SCESD001/ 24SCESD001		\$277,329	\$277,329	FOSTER GRANDPARENT/SENIOR COMPANION CLUSTER	\$ 277,329
TOTAL CORPORATION FOR NATIONAL AND COMMUNITY SERVICE						\$277,329			

Schedule of Expenditures of Federal Awards

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DEPARTMENT OF HOMELAND SECURITY									
NON-PROFIT SECURITY PROGRAM	97.008		North Dakota Department of Emergency Services	EMW-2022-UA-00061		\$17,940	\$110,999	N/A	\$0
NON-PROFIT SECURITY PROGRAM	97.008		North Dakota Department of Emergency Services	EMW-2023-UA-00001-S01		\$41,345	\$110,999	N/A	\$0
NON-PROFIT SECURITY PROGRAM	97.008		North Dakota Department of Emergency Services	EMW-2023-UA-00001-S01		\$51,714	\$110,999	N/A	\$0
BOATING SAFETY FINANCIAL ASSISTANCE	97.012		Safe Kids Worldwide	30007648-02		\$3,551	\$3,551	N/A	\$0
DISASTER GRANTS - PUBLIC ASSISTANCE (PRESIDENTIALLY DECLARED DISASTERS)	97.036	COVID-19				\$17,985	\$122,250	N/A	\$0
DISASTER GRANTS - PUBLIC ASSISTANCE (PRESIDENTIALLY DECLARED DISASTERS)	97.036	COVID-19	North Dakota Department of Emergency Services	N/A		\$104,265	\$122,250	N/A	\$0
TOTAL DEPARTMENT OF HOMELAND SECURITY						\$236,800			
UNITED STATES AGENCY FOR INTERNATIONAL DEVELOPMENT									
FOREIGN ASSISTANCE FOR PROGRAMS OVERSEAS	98.001		Project HOPE	72064124CA00003		\$2,584	\$2,584	N/A	\$0
TOTAL UNITED STATES AGENCY FOR INTERNATIONAL DEVELOPMENT						\$2,584			
TOTAL EXPENDITURE OF FEDERAL AWARDS					\$2,442,798	\$27,478,912			

Please Note:
Italicized award lines indicate pass-through funding
The accompanying Notes to the Schedule of Expenditures of Federal Awards are an integral part of the schedule.

Sanford

Notes to the Schedule of Expenditures of Federal Awards

December 31, 2024

1. Basis of Presentation and Summary of Significant Accounting Policies

The accompanying schedule of expenditures of federal awards (the Schedule) includes the federal award expenditures of Sanford and its controlled entities under the programs of the federal government for the year ended December 31, 2024. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The Schedule is prepared on the accrual basis of accounting and should be read in conjunction with the consolidated financial statements of Sanford. Expenditures are recognized following the cost principles contained in the Uniform Guidance.

2. Indirect Cost Rate

Indirect cost rates for Sanford were based on applicable U.S. Department of Health and Human Services (HHS) negotiated rates, the 10% de minimis indirect cost rate allowed by the Uniform Guidance, or sponsor-specific (capped) rates.

Internal Control and Compliance Reports and Schedule



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Report of Independent Auditors on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with Government Auditing Standards

The Board of Trustees, President and Chief Executive Officer and
Executive Vice President, Chief Financial Officer
Sanford

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the consolidated financial statements of Sanford (the Company), which comprise the consolidated balance sheet as of December 31, 2024, and the related consolidated statements of operations and changes in net assets, and cash flows for the year then ended, and the related notes (collectively referred to as the “financial statements”), and have issued our report thereon dated March 31, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Company’s internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Company’s internal control. Accordingly, we do not express an opinion on the effectiveness of the Company’s internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity’s financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.



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Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Company's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Ernst & Young LLP

March 31, 2025



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Report of Independent Auditors on Compliance for Each Major Federal Program and Report on Internal Control Over Compliance Required by the Uniform Guidance

The Board of Trustees, President and Chief Executive Officer and
Executive Vice President, Chief Financial Officer
Sanford

Report of Independent Auditors on Compliance for Each Major Federal Program

Qualified and Unmodified Opinions

We have audited Sanford's (the Company) compliance with the types of compliance requirements identified as subject to audit in the U.S. Office of Management and Budget (OMB) *Compliance Supplement* that could have a direct and material effect on each of the Company's major federal programs for the year ended December 31, 2024. The Company's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Qualified Opinion on Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement (Assistance Listing No 93.912)

In our opinion, except for the noncompliance described in the Basis for Qualified and Unmodified Opinions section of our report, the Company complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement for the year ended December 31, 2024.

Unmodified Opinion on the Other Major Federal Programs

In our opinion, the Company complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its other major federal programs identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs for the year ended December 31, 2024.



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Basis for Qualified and Unmodified Opinions

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Company's compliance with the compliance requirements referred to above.

Matter Giving Rise to Qualified Opinion on Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement (Assistance Listing No 93.912)

As described in the accompanying schedule of findings and questioned costs, the Company did not comply with requirements regarding Assistance Listing No 93.912, Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement as described in finding number 2024-001 for Reporting.

Compliance with such requirements is necessary, in our opinion, for the Company to comply with the requirements applicable to that program.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Company's federal programs.



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Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Company's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Company's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Company's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Company's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.



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Other Matters

The results of our auditing procedures disclosed an other instance of noncompliance, which is required to be reported in accordance with the Uniform Guidance and which is described in the accompanying schedule of findings and questioned costs as follows:

Finding No.	Assistance Listing No.	Program (or Cluster) Name	Compliance Requirement
2024-003	93.243	Substance Abuse and Mental Health Services Projects of Regional and National Significance	L. Reporting

Our opinion on the major federal program is not modified with respect to this matter.

Government Auditing Standards requires the auditor to perform limited procedures on the Company’s response to the noncompliance findings identified in our audit described in the accompanying schedule of findings and questioned costs. The Company’s response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Report on Internal Control Over Compliance

Our consideration of internal control over compliance was for the limited purpose described in the Auditor’s Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance, and therefore, material weaknesses or significant deficiencies may exist that were not identified. However, as discussed below, we did identify certain deficiencies in internal control over compliance that we consider to be material weaknesses and a significant deficiency.



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A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected on a timely basis. We consider the following deficiencies in internal control over compliance described in the accompanying schedule of findings and questioned costs to be material weaknesses.

Finding No.	Assistance Listing No.	Program (or Cluster) Name	Compliance Requirement
2024-001	93.912	Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement	L. Reporting
2024-002	93.243	Substance Abuse and Mental Health Services Projects of Regional and National Significance	I. Procurement and Suspension and Debarment
	93.912	Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement	
	Various	R&D Cluster	
2024-004	93.859	R&D Cluster	A. Activities Allowed or Unallowed B. Allowable Costs/Cost Principles



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A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance. We consider the deficiency in internal control over compliance described in the accompanying schedule of findings and questioned costs as follows to be a significant deficiency.

Finding No.	Assistance Listing No.	Program (or Cluster) Name	Compliance Requirement
2024-003	93.243	Substance Abuse and Mental Health Services Projects of Regional and National Significance	L. Reporting

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Government Auditing Standards requires the auditor to perform limited procedures on the Company’s response to the internal control over compliance findings identified in our audit described in the accompanying schedule of findings and questioned costs. The Company’s response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Ernst + Young LLP

June 10, 2025

Sanford

Schedule of Findings and Questioned Costs

For the Year Ended December 31, 2024

Section I – Summary of Auditor’s Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP:

Unmodified

Internal control over financial reporting:

Material weakness(es) identified?

_____yes X no

Significant deficiency(ies) identified?

_____yes X none reported

Noncompliance material to financial statements noted?

_____yes X no

Federal Awards

Internal control over major federal programs:

Material weakness(es) identified?

 X yes _____no

Significant deficiency(ies) identified?

 X yes _____none reported

Type of auditor’s report issued on compliance for major federal programs:

Qualified opinion – 93.912 – Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement

Unmodified opinion – 93.243 – Substance Abuse and Mental Health Services Projects of Regional and National Significance

R&D Cluster

Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

 X yes _____no

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Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Identification of major federal programs:

Assistance Listing Numbers	Name of Federal Program or Cluster
93.243	Substance Abuse and Mental Health Services Projects of Regional and National Significance
93.912	Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement
Various	R&D Cluster
Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$824,367</u>
Auditee qualified as low-risk auditee?	<u> </u> yes <u> X </u> no

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Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Section II – Financial Statement Findings

None Identified.

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Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Section III – Federal Award Findings and Questioned Costs

2024–001 Transparency Act Reporting

Identification of the Federal Program	Federal Agency and Program Name	Assistance Listing #
	U.S. Department of Health and Human Services, Health Resources and Services Administration (HRSA)	
	Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement (RHC)	93.912
	Award Year(s): July 1, 2023–June 30, 2025 September 1, 2023–August 31, 2025	
Criteria or Specific Requirement (Including Statutory, Regulatory or Other Citation):	2 CFR 200.303 requires that the non-Federal entity must “(a) establish and maintain effective internal control over the Federal award that provides reasonable assurance that the non-Federal entity is managing the Federal award in compliance with Federal statutes, regulations and the terms and conditions of the Federal award. These internal controls should be in compliance with guidance in “Standards for Internal Control in the Federal Government” issued by the Comptroller General of the United States and the “Internal Control Integrated Framework”, issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO).” Under the requirements of the Federal Funding Accountability and Transparency Act (Pub. L. No. 109-282) (Transparency Act) that are codified in 2 CFR Part 170, “unless the auditee is exempt as provided in paragraph d. of this award term, the auditee must report each action that equals or exceeds \$30,000 in Federal funds for a subaward to a non-Federal entity or Federal agency no later than the end of the month following the month in which the obligation was made.” Recipients of grants or cooperative agreements are required to report first-tier subawards of \$30,000 or more to the Federal Funding Accountability and Transparency Act Subaward Reporting System (FSRS) per submission instructions posted at http://www.fsrs.gov.	
Condition:	During our audit, we noted six instances where the required Federal Funding Accountability and Transparency Act (FFATA) reports were not submitted in the FSRS in FY 2024.	

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Cause:	Sanford did not have sufficient internal controls to ensure that the required FFATA reports were submitted with all the correct information.
Effect or Potential Effect:	Sanford did not submit the necessary FFATA report under the RHC project for each first-tier subaward agreement or modifications over \$30,000 in FSRS and consequently was not in compliance with the requirements under the Transparency Act.
Questioned Costs:	\$0
Context:	Under the RHC program, there were four subrecipients that had a total of six subaward modifications in FY 2024. The six subaward modifications for which FFATA reports were not submitted totaled \$388,722. Total subrecipient's costs are \$513,334 in FY 2024. The total federal expenditures for the RHC program for FY 2024 were \$1,422,159.
Identification as a Repeat Finding:	This is not a repeat finding.
Recommendation:	We recommend management strengthen its internal controls and procedures over the review of subrecipient awards and amendments to ensure the required FFATA reports are submitted to be in compliance with the Federal Transparency Act.
Views of Responsible Officials:	As it relates to the Federal Funding Accountability and Transparency Act (FFATA) reporting, Sanford has revised procedures to provide further clarity on FFATA reporting. There is an additional requirement to include the FFATA report as an attachment to the subrecipient monitoring form, and this will be monitored through the monthly internal review conducted on subrecipient risk assessment and monitoring status.

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

2024-002 Procurement and Suspension and Debarment

Identification of the Federal Program	Federal Agency and Program Name	Assistance Listing #
	U.S. Department of Defense National Aeronautics and Space Administration National Science Foundation U.S. Department of Treasury U.S. Department of Health and Human Services	
	Rural Health Care Services Outreach, Rural Health Network Development and Small Health Care Provider Quality Improvement (RHC)	93.912
	Research and Development Cluster (R&D)	Various
	Substance Abuse and Mental Health Services Projects of Regional and National Significance (SAMHSA Project)	93.243
	Award Year: FY 2024	
Criteria or Specific Requirement (Including Statutory, Regulatory or Other Citation):	2 CFR 200.303 requires that the non-Federal entity must “(a) establish and maintain effective internal control over the Federal award that provides reasonable assurance that the non-Federal entity is managing the Federal award in compliance with Federal statutes, regulations and the terms and conditions of the Federal award. These internal controls should be in compliance with guidance in “Standards for Internal Control in the Federal Government” issued by the Comptroller General of the United States and the “Internal Control Integrated Framework”, issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO).”	

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Condition:	We noted the following matters during our testing of Procurement and Suspension and Debarment requirements: • For the New Vendor Setup process, we noted five instances out of 25 samples where the vendor screening for suspension and debarment was not performed prior to setting up the vendor in the system and procuring the goods/services. • Under the RHC program, for two of the three procurement transactions tested, we noted the requester and approver of the sole source justification form was the same individual.
Cause:	Sanford did not follow its policy and perform the vendor screening for suspension and debarment prior to setting up the vendor in the system. In addition, Sanford did not require a separate individual to approve the sole source justification forms.
Effect or Potential Effect:	By setting up the vendor in the system prior to performing the vendor screening for suspension and debarment, Sanford could have potentially entered into a business transaction with suspended or debarred parties and paid for those costs using federal grant funding. Sanford did not comply with its policy by having appropriate personnel, in addition to the requester, review and approve the sole source justification forms.
Questioned Costs:	\$0

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Context:	Sanford follows a consistent vendor setup process for setting up each new vendor in the system, regardless of whether the vendor transactions are funded through federal grant funding or through other sources. To prevent a suspended or debarred vendor from being added as a new vendor, the vendor is checked against the suspension and debarment database electronically before completion of the vendor setup. We selected 25 new vendors that were set up in FY 2024 to verify that the suspension and debarment screening was performed prior to adding the vendors in the System and noted for five of these 25 vendors, the suspension and debarment screening was not performed prior to setting up the vendor in the system. Although Sanford's policy was not followed, vendors that were not screened for suspension and debarment prior to transacting with them were not used for any of the major federal programs in FY 2024. Under the RHC program, the two transactions for which the requester and the approver of the sole source justification form was the same individual totaled \$56,551. Total procurement tested under the RHC program was \$77,209. Total population subject to procurement was \$77,209, which represents 5.42% of the total federal expenditures under the RHC program. The total federal expenditures for the RHC program for FY 2024 were \$1,422,159.
Identification as a Repeat Finding:	Partial repeat finding of 2023–001.
Recommendation:	Management should strengthen its internal controls to ensure that the suspension and debarment screening is performed prior to adding the vendor in the System and entering into a business transaction with the vendor. Management should ensure that there is segregation of duties between the approver and requester of the sole source justification forms.

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Views of Responsible Officials: As it relates to the reliance on the third-party vendor that conducts suspension and debarment vendor searches, the third-party vendor provides Sanford a SOC (System and Organizational Controls) 2 Type II report annually over the effectiveness of its controls. This is reviewed by Sanford's compliance department to ensure that there are no findings that would be of concern to Sanford's reliance on the vendor transaction. Considering the third-party vendor is not relied upon for financial controls, the third-party vendor does not have a SOC 1 (System and Organization Controls) report and, therefore, did not provide this level of report to Sanford.

Prior to this year's review, in November 2024, Sanford enhanced its operating procedures and began documenting a monthly validation of the suspension and debarment search results performed by the third-party vendor. These preventive and detective controls and operating procedures provide reasonable assurance over the effectiveness of the controls necessary to prevent the risk of federal funds being paid to the vendors that are suspended or debarred. Sanford believes the risk of any material disbursement to suspended and debarred vendors is effectively mitigated through existing preventive and detective internal controls.

During the review, there were five instances out of 25 samples where suspension and debarment were not performed prior to vendor setup. None of those vendors were associated with the programs funded with federal funds. In addition, there were no instances where the suspension and debarment search was not performed after the enhanced operating procedures were implemented in November.

As it relates to the procurement of goods and services, Sanford's preventive and detective controls and operating procedures provide reasonable assurance over the effectiveness of the controls necessary to prevent the risk of federal funds being utilized for procurement. Sanford believes the risk of any material disbursement subject to procurement is effectively mitigated through existing preventive and detective internal controls.

To provide context on the scale of sole source procurement, the two transactions for which the requester and the approver of the sole source justification form was the same individual totaled \$56,551. The total federal expenditures for the RHC program for the fiscal year ended December 31, 2024, were \$1,422,159. Total procurement tested under RHC program was \$77,209. Total population subject to procurement was \$77,209, which represents 5.42% of the total federal expenditures under the RHC program. Sanford has revised its internal procedures to strengthen controls for sole source justification and documentation.

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

2024-003 Transparency Act Reporting

Identification of the Federal Program	Federal Agency and Program Name	Assistance Listing #
	U.S. Department of Health and Human Services, Substance Abuse and Mental Health Services Administration Center for Mental Health Services	
	Substance Abuse and Mental Health Services Projects of Regional and National Significance (SAMHSA Project)	93.243
	Award Year(s): September 30, 2023–September 29, 2025	
Criteria or Specific Requirement (Including Statutory, Regulatory or Other Citation):	2 CFR 200.303 requires that the non-Federal entity must “(a) establish and maintain effective internal control over the Federal award that provides reasonable assurance that the non-Federal entity is managing the Federal award in compliance with Federal statutes, regulations and the terms and conditions of the Federal award. These internal controls should be in compliance with guidance in “Standards for Internal Control in the Federal Government” issued by Comptroller General of the United States and the “Internal Control Integrated Framework”, issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO).” Under the requirements of the Federal Funding Accountability and Transparency Act (Pub. L. No. 109-282) (Transparency Act) that are codified in 2 CFR Part 170, “unless the auditee is exempt as provided in paragraph d. of this award term, the auditee must report each action that equals or exceeds \$30,000 in Federal funds for a subaward to a non-Federal entity or Federal agency no later than the end of the month following the month in which the obligation was made.” Recipients of grants or cooperative agreements are required to report first-tier subawards of \$30,000 or more to the Federal Funding Accountability and Transparency Act Subaward Reporting System (FSRS) per submission instructions posted at http://www.fsrc.gov.	
Condition:	We noted in one out of the three reports tested, the subaward amount and the subaward action date were inputted incorrectly in FSRS.	
Cause:	Internal controls over review of the FFATA report prior to submission were not robust enough to prevent incorrect data elements reported.	

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Effect or Potential Effect:	Sanford did not appropriately report certain data elements in the FFATA report and consequently was not in compliance with the requirements under the Transparency Act.
Questioned Costs:	\$0
Context:	Under the SAMHSA project, there were three subrecipients that had a total of three subaward modifications in FY 2024. For one subaward for which the subaward amount and subaward action date were incorrect the total was \$59,982. Total subrecipient's costs are \$228,216 in FY 2024. The total federal expenditures for the SAMHSA project for FY 2024 were \$1,077,755.
Identification as a Repeat Finding:	This is not a repeat finding.
Recommendation:	We recommend management strengthen its internal controls and procedures over the review of subrecipient awards and amendments to ensure the information submitted is accurate to be in compliance with the Federal Transparency Act.
Views of Responsible Officials:	As it relates to the Federal Funding Accountability and Transparency Act (FFATA) reporting, Sanford has revised procedures to provide further clarity on FFATA reporting. There is an additional requirement to include the FFATA report as an attachment to the subrecipient monitoring form, and this will be monitored through the monthly internal review conducted on subrecipient risk assessment and monitoring status.

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

2024–004 Activities Allowed or Unallowed, Allowable Costs/Cost Principles

Identification of the Federal Program	Federal Agency and Program Name	Assistance Listing #
	U.S. Department of Health and Human Services, Health Resources and Services Administration (HRSA)	
Pass Through Entity:	West Virginia University, University of North Dakota	
	R&D Cluster	93.859
	Award Year(s): February 24, 2024–May 23, 2025	
Criteria or Specific Requirement (Including Statutory, Regulatory or Other Citation):	2 CFR 200.303 requires that the non-Federal entity must “(a) establish and maintain effective internal control over the Federal award that provides reasonable assurance that the non-Federal entity is managing the Federal award in compliance with Federal statutes, regulations and the terms and conditions of the Federal award. These internal controls should be in compliance with guidance in “Standards for Internal Control in the Federal Government” issued by the Comptroller General of the United States and the “Internal Control Integrated Framework”, issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO).”	
Condition:	During our audit, we noted for five milestone invoices selected for testing, Sanford did not have documented evidence of review and approval of the study activities submitted to the pass-through entity.	
Cause:	Sanford did not have sufficient internal controls to retain documentation over review and approval of milestone activities for allowability.	
Effect or Potential Effect:	A lack of review and approval of milestone study activities could potentially result in unallowable activities being charged to the federal program.	
Questioned Costs:	\$0	
Context:	Total milestone grant amounts charged to the R&D Cluster were \$390,061 in FY 2024. The total federal expenditures for the R&D Cluster for FY 2024 were \$14,242,836.	
Identification as a Repeat Finding:	This is not a repeat finding.	

Sanford

Schedule of Findings and Questioned Costs (continued)

For the Year Ended December 31, 2024

Recommendation: We recommend management document and retain support over the review and approval of milestone study activities.

Views of Responsible Officials: As it relates to research milestone billing for the PASC grant, procedures have been revised. Upon receipt of invoice and payment from PASC, the Research Billing team will review and provide notification to the Research Director and Research Manager via email if the invoice and payment received matches to what is shown as owed in our systems.

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Sanford
Corrective Action Plan
December 31, 2024

Finding 2024-001 Transparency Act Reporting

Information on the federal program:

Federal Agency: United States Department of Health and Human Services, Health Resources and Services Administration (HRSA)

Assistance Listing: 93.912

Award Year: 2023

Planned corrective actions:

As it relates to the Federal Funding Accountability and Transparency Act (FFATA) reporting, Sanford has revised procedures to provide further clarity on FFATA reporting. There is an additional requirement to include the FFATA report as an attachment to the subrecipient monitoring form and this will be monitored through the monthly internal review conducted on subrecipient risk assessment and monitoring status.

Responsible Party: Kristi Crawford, Director of Office of Grants

Anticipated completion date: May 1, 2025

Finding 2024-002 – Suspension and Debarment/Procurement

Information on the federal program:

Federal Agency: United States Department of Health and Human Services, Health Resources and Services Administration (HRSA), Substance Abuse and Mental Health Administration (SAMHSA) and various R&D

Assistance Listing: Various, 93.912, 93.243

Award Year: 2024

Planned corrective actions:

As it relates to the reliance on the third-party vendor that conducts suspension and debarment - party vendor searches, the third-party vendor provides Sanford a SOC (System and Organizational Controls) 2 Type II report annually over the effectiveness of its controls. This is reviewed by Sanford's compliance department to ensure that there are no findings that would be of concern to Sanford's reliance on the vendor transaction. Considering the third-party vendor is not relied upon for financial controls, the third-party vendor does not have a SOC 1 (System and Organization Controls) Report and therefore did not provide this level of report to Sanford.

Prior to this year's review, in November 2024, Sanford enhanced their operating procedures and began documenting a monthly validation of the suspension and debarment search results performed by the third-party vendor. These preventative and detective controls and operating procedures provide reasonable assurance over the effectiveness of the controls necessary to prevent the risk of federal funds being paid to the vendors that are suspended or debarred. Sanford believes the risk of any material disbursement to suspended and debarred vendors is effectively mitigated through existing preventative and detective internal controls.

During the review, there were 5 instances out of 25 samples where suspension and debarment was not performed prior to vendor set up. None of those vendors were associated with the programs funded with federal funds. In addition, there were no instances where the suspension and debarment search was not performed after the enhanced operating procedures were implemented in November.

Responsible official: Tracy Sattler, Director of Compliance and Melanie Paape, Vice President, Supply Chain Operations

Anticipated completion date: already completed

As it relates to the procurement of goods and services, Sanford's preventative and detective controls and operating procedures provide reasonable assurance over the effectiveness of the controls necessary to prevent the risk of federal funds being utilized for procurement. Sanford believes the risk of any material disbursement subject to procurement is effectively mitigated through existing preventative and detective internal controls.

To provide context on the scale of Sole Source procurement, the two transactions for which the requester and the approver of the sole source justification form was the same individual totaled \$56,551. The total federal expenditures for the RHC program for the fiscal year ended December 31, 2024, were \$1,422,158. Total procurement tested under RHC program was \$77,209. Total population subject to procurement was \$77,209 which represents 5.42% of the total federal expenditures under the RHC program. Sanford has revised internal procedure to strengthen controls for sole source justification and documentation.

Responsible Party: Kristi Crawford, Director of Office of Grants

Anticipated completion date: May 1, 2025

Finding 2024-003 Transparency Act Reporting

Information on the federal program:

Federal Agency: United States Department of Health and Human Services, Substance Abuse and Mental Health Administration (SAMHSA)

Assistance Listing: 93.243

Award Year: 2023

Planned corrective actions:

As it relates to the Federal Funding Accountability and Transparency Act (FFATA) reporting, Sanford has revised procedures to provide further clarity on FFATA reporting. There is an additional requirement to include the FFATA report as an attachment to the subrecipient monitoring form and this will be monitored through the monthly internal review conducted on subrecipient risk assessment and monitoring status.

Responsible Party: Kristi Crawford, Director of Office of Grants

Anticipated completion date: May 1, 2025

Finding 2024-004 Activities Allowed or Unallowed, Allowable Cost/Cost Principles

Information on the federal program:

Federal Agency: United States Department of Health and Human Services, West Virginia University, University of North Dakota

Assistance Listing: 93.859

Award Year: 2024

Planned corrective actions:

As it relates to Research milestone billing for the PASC grant, procedures have been revised. Upon receipt of invoice and payment from PASC, the Research Billing team will review and provide notification to Research Director and Research Manager via email if the invoice and payment received matches to what is shown as owed in our systems.

Responsible Party: Stephanie Swanson, Director of Insurance

Anticipated completion date: June 1, 2025

**Summary Schedule of Prior Year Audit Findings
For The Year Ended December 31, 2023**

Finding 2023-001

Federal Grantor: Department of Health and Human Services, Health and Human Services, Health Resources and Services Administration

Assistance Listing No.: 93.155

Award Year: 2021

Status: Resolved; Sanford documented periodic validation of the suspension and debarment search results performed by a third-party vendor for vendor searches that yield no suspension and debarment match. In addition, Sanford enhanced its procedural documentation regarding retention of evidence related to reconciliation of vendor list when discrepancies are identified and the suspension and debarment results that are generated through the vendor setup process. Sanford re-educated staff on adequate sole source justification documentation.

**Summary Schedule of Prior Year Audit Findings
For The Year Ended December 31, 2022**

Finding 2022-001

Federal Grantor: Various

Assistance Listing No.: Various; Research and Development Cluster

Award Year: 2022

Status: Resolved; Sanford documented periodic validation of the suspension and debarment search results performed by a third-party vendor for vendor searches that yield no suspension and debarment match. In addition, Sanford enhanced its procedural documentation regarding retention of evidence related to reconciliation of vendor list when discrepancies are identified and the suspension and debarment results that are generated through the vendor setup process.

Finding 2022-002

Federal Grantor: U.S. Department of Health and Human Services (HHS) Health Resources Services Administration (HRSA)

Assistance Listing No.: 93.498; COVID-19 Provider Relief Fund and American Rescue Plan (ARP) Rural Distribution (PRF)

Award Year: 2022

Status: Resolved; Sanford re-educated the senior care facility's administrators and enhanced its procedural documentation regarding retention of evidence related to the approval of contract labor timecards and payment of contract labor invoices for this facility to be consistent with the over 200 other facilities across the system.
